

2021 -2025

MOTILAL OSWAL (MIDCAP FUND - REGULAR)

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Motilal Oswal Financial Services is a leading Indian financial services company established in 1987 by Motilal Oswal and Raamdeo Agrawal. Headquartered in Mumbai, the company offers services such as stock broking, asset management, wealth management, investment banking, and housing finance. Its mutual fund division, Motilal Oswal Asset Management Company, is known for its research-driven investment strategies and focus on long-term wealth creation. The company follows its famous "QGLP" philosophy, which stands for Quality, Growth, Longevity, and Price. This investment approach focuses on fundamentally strong businesses with sustainable growth potential. Motilal Oswal is also recognized for its detailed research reports, innovative financial products, and advanced digital investment platforms. Over the years, the company has built a strong reputation and become one of the most trusted names in India's financial services.

Motilal Oswal Midcap Fund is an open-ended equity mutual fund that primarily invests in mid-cap companies with strong growth potential and long-term competitive advantages. Launched in 2014, the fund follows a high-conviction investment strategy focused on identifying quality businesses capable of generating sustainable earnings growth. The scheme is mandated to invest at least 65% of its assets in mid-cap stocks, which are companies ranked between 101st and 250th by market capitalization.

The fund aims to achieve long-term capital appreciation through a concentrated portfolio and bottom-up stock selection approach. It is managed by Motilal Oswal Mutual Fund, a well-known asset management company recognized for its QGLP (Quality, Growth, Longevity, and Price) investment philosophy. Over the years, the fund has delivered strong long-term returns and has emerged as one of the notable performers in the mid-cap category.

As of 2026, the fund manages assets exceeding ₹35,000 crore, reflecting strong investor confidence and growing popularity among retail and institutional investors. However, due to its exposure to mid-cap stocks, the fund carries a very high risk profile and is best suited for investors with a long-term investment horizon and higher risk tolerance. The fund is often considered by investors seeking wealth creation through participation in emerging and fast-growing Indian businesses.

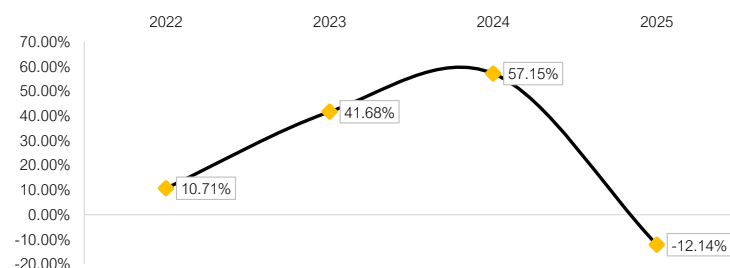
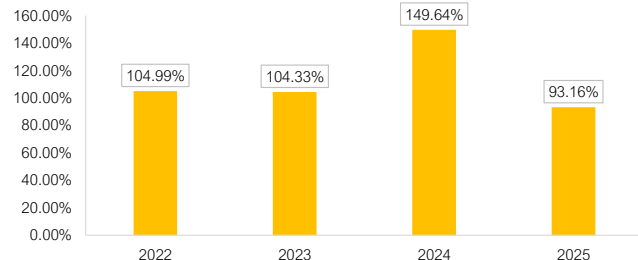


The Board of Directors of Motilal Oswal Financial Services comprises highly experienced professionals with expertise in finance, investment management, banking, corporate governance, and strategic leadership. Led by co-founders Raamdeo Agrawal and Motilal Oswal, the board has played a pivotal role in transforming the company into one of India's most respected financial services institutions. Their vision, market expertise, and commitment to long-term value creation have been key drivers of the company's success.

The board consists of executive and independent directors who bring diverse perspectives and industry knowledge to the organization. Their collective experience strengthens decision-making, risk management, regulatory compliance, and corporate governance practices. Independent directors provide objective oversight, ensuring transparency, accountability, and the protection of shareholder interests.

The board is responsible for defining the company's strategic direction, evaluating growth opportunities, and ensuring sustainable business performance. Through prudent leadership and a strong focus on innovation, the directors continue to support Motilal Oswal's expansion across wealth management, asset management, investment banking, and financial services. Their guidance helps the company maintain its reputation for research-driven investing while delivering long-term value to clients, investors, employees, and other stakeholders.

Particulars (in Cr.)	2021	2022	2023	2024	2025
Total Stocks Held	1760.41	3492.61	7336.59	17760.00	34305.58
YoY Change (%)	N/A	98.40%	110.06%	142.07%	93.16%
Cash	10.62	134.19	74.11	666.00	1286.46
YoY Change (%)	N/A	1164.10%	-44.78%	798.70%	93.16%
Net Receivable / Payable	-3.54	0.36	0.74	74.00	142.94
YoY Change (%)	N/A	-110.25%	104.33%	9885.56%	93.16%
Total AUM	1769.26	3626.8	7410.7	18500	35734.98
YoY Change (%)	N/A	104.99%	104.33%	149.64%	93.16%



Metrics (in Rs.)	2021	2022	2023	2024	2025
NAV	45.66	50.55	71.62	112.55	98.89
YoY Cha. (%)	N/A	10.71%	41.68%	57.15%	-12.14%

The fund demonstrated exceptional growth in both Assets Under Management (AUM) and Net Asset Value (NAV) during the analysis period. AUM increased from ₹1,769.26 crore in 2021 to ₹35,734.98 crore in 2025, reflecting strong investor confidence and substantial fund inflows. NAV also grew significantly from ₹45.66 to ₹98.89, indicating effective portfolio performance and wealth creation. Although NAV declined by 12.14% in 2025 due to market volatility, the fund maintained a strong long-term growth trajectory, highlighting its resilience and potential.

Stocks where Motilal Oswal Midcap has Invested so far



The companies featured represent a diverse mix of India's leading organizations across technology, finance, telecommunications, manufacturing, healthcare, renewable energy, and capital markets. Paytm and PB Fintech have transformed digital financial services, while Bharti Airtel and Bharti Hexacom play a key role in strengthening communication networks. Coforge and Persistent Systems are recognized globally for delivering innovative IT and digital transformation solutions. Financial institutions such as Axis Bank, IDFC FIRST Bank, AU Small Finance Bank, Shriram Finance, L&T Finance, Aditya Birla Capital, and ICICI Prudential Asset Management contribute significantly to economic growth and financial inclusion. Manufacturing leaders including KEI Industries, Dixon Technologies, Tube Investments of India, Bharat Electronics, and TVS Motor Company drive industrial innovation and production excellence. Kalyan Jewellers, Prestige Estates, and Max Healthcare are trusted brands serving millions of customers. Meanwhile, Waaree Energies and Premier Energies support India's clean energy ambitions, while BSE and MCX remain vital institutions facilitating investment and efficient capital market operations.

Fund Name	Category	Benchmark	Risk Level	Investment Horizon	Fund House
Motilal Oswal Midcap F.	Midcap Fund	Nifty Midcap 150	Very High	5+ Years	Motilal Oswal AMC

Long Term Wealth Creation

Long-term wealth creation is one of the primary objectives of Motilal Oswal Midcap Fund. The fund focuses on identifying businesses with strong growth potential and holding them over extended periods to benefit from compounding returns. Rather than seeking short-term gains, the investment strategy emphasizes sustainable value creation through disciplined stock selection and patient investing. By investing in fundamentally strong mid-cap companies, the fund aims to capture growth opportunities arising from business expansion, market leadership, and increasing profitability. Over time, the power of compounding can significantly enhance investor wealth as earnings growth translates into higher company valuations. The fund's long-term approach also helps reduce the impact of short-term market volatility, allowing investments to grow through various market cycles. This philosophy aligns with the objective of helping investors achieve important financial goals such as retirement planning, wealth accumulation, and long-term financial security while participating in the growth of promising Indian businesses.

Investment in Quality Midcap Companies

Motilal Oswal Midcap Fund primarily invests in quality mid-cap companies that demonstrate strong business fundamentals, competitive advantages, and sustainable growth prospects. Mid-cap companies often represent businesses that have successfully established themselves but still possess significant room for expansion. These companies typically benefit from increasing market share, operational efficiencies, and rising consumer demand. The fund carefully evaluates factors such as management quality, financial strength, earnings growth, and industry position before making investment decisions. By focusing on high-quality businesses, the fund seeks to reduce investment risk while maximizing long-term return potential. Mid-cap companies can often deliver faster growth than mature large-cap firms, making them attractive for investors seeking higher capital appreciation. Through a diversified portfolio of carefully selected mid-cap stocks, the fund provides exposure to emerging industry leaders across various sectors.

Research Driven Stock Selection

Research-driven stock selection forms the foundation of Motilal Oswal Midcap Fund's investment philosophy. The fund follows a rigorous research process to identify businesses with strong growth potential, sound financial health, and capable management teams. Detailed analysis is conducted on company fundamentals, industry trends, competitive positioning, earnings prospects, and valuation metrics before investment decisions are made. This disciplined approach helps ensure that only high-conviction investment opportunities are included in the portfolio. The research team continuously monitors portfolio companies and evaluates changing market conditions to maintain investment quality. By relying on extensive fundamental research rather than short-term market speculation, the fund aims to generate consistent long-term returns for investors. This process helps identify undervalued opportunities and emerging growth companies before they become widely recognized by the market. As a result, investors benefit from a professionally managed portfolio built upon thorough analysis, informed decision-making, and a strong focus on long-term value creation.

Participation in India's Growth Story

Motilal Oswal Midcap Fund provides investors with an opportunity to participate in India's long-term economic growth story. India continues to be one of the fastest-growing major economies, supported by rising consumption, urbanization, infrastructure development, technological advancement, and favorable demographic trends. Mid-cap companies are often among the biggest beneficiaries of these structural growth drivers because they operate in expanding industries and possess significant growth potential. By investing in a diversified portfolio of mid-cap businesses, the fund allows investors to benefit from the increasing scale and profitability of these companies as the economy evolves. Sectors such as manufacturing, financial services, healthcare, technology, consumer goods, and infrastructure are expected to play a crucial role in India's future growth. The fund seeks to identify businesses that are well-positioned to capitalize on these opportunities. This approach enables investors to align their portfolios with India's economic progress while pursuing long-term capital appreciation and wealth creation.

Motilal Oswal Midcap Fund Short term Investment Goal

Although Motilal Oswal Midcap Fund is primarily focused on long-term wealth creation, its short-term investment goal is to capitalize on emerging opportunities within the mid-cap segment and generate competitive returns. The fund seeks to identify fundamentally strong companies that can benefit from favorable market conditions, improving earnings, and positive industry developments. Through active portfolio management and research-driven stock selection, the fund aims to capture short-term growth opportunities while maintaining investment quality. By investing in businesses with strong fundamentals and growth potential, the scheme strives to deliver value to investors over shorter investment horizons. However, short-term returns may fluctuate due to market volatility, economic conditions, and sector-specific factors, making disciplined investing essential for achieving investment objectives.



Motilal Oswal Midcap Fund Mid term Investment Goal

The medium-term investment goal of Motilal Oswal Midcap Fund is to generate consistent capital appreciation over a three to five-year investment horizon by investing in quality mid-cap companies with strong growth prospects. The fund focuses on businesses that are expected to benefit from expanding operations, increasing profitability, and favorable industry trends. Through a disciplined, research-driven investment approach, the fund seeks to identify companies capable of delivering sustainable earnings growth and long-term value creation. By maintaining a diversified portfolio across various sectors, it aims to balance growth opportunities with prudent risk management. This strategy enables investors to participate in the growth of emerging businesses while seeking competitive returns and building wealth steadily over the medium term.



Motilal Oswal Midcap Fund Long term Investment Goal

The long-term investment goal of Motilal Oswal Midcap Fund is to create substantial wealth for investors by investing in high-quality mid-cap companies with strong growth potential. The fund focuses on businesses that possess sustainable competitive advantages, sound management, and the ability to deliver consistent earnings growth over time. Through a research-driven investment approach, the fund aims to identify emerging companies that can become future industry leaders. By maintaining a diversified portfolio across multiple sectors, it seeks to benefit from India's economic expansion, rising consumption, technological advancement, and infrastructure development. Over an investment horizon of five years or more, the fund aims to generate long-term capital appreciation and help investors achieve their financial goals through the power of compounding and sustainable business growth.



Q

Quality

Quality is the first pillar of Motilal Oswal's QGLP (Quality, Growth, Longevity, Price) investment philosophy. The firm believes that successful long-term investing begins with identifying businesses that possess strong fundamentals, ethical management, sustainable competitive advantages, and the ability to generate consistent returns over time. Rather than focusing on short-term earnings or market movements, Motilal Oswal emphasizes investing in quality businesses that can create value across multiple economic cycles.

Business quality is evaluated through several financial and operational parameters. Companies with high Return on Equity (ROE), strong Return on Capital Employed (ROCE), healthy profit margins, robust cash flows, and low debt levels are generally preferred. Such businesses demonstrate efficient capital allocation and operational excellence, allowing them to generate superior returns while maintaining financial stability. Additionally, Motilal Oswal seeks companies that possess durable competitive advantages such as strong brands, pricing power, extensive distribution networks, or technological leadership.

Equally important is management quality. The firm places significant emphasis on investing alongside management teams that exhibit integrity, transparency, competence, and a strong commitment to shareholder value creation. Management's ability to allocate capital effectively, execute strategic plans, and maintain high standards of corporate governance is carefully assessed before making investment decisions.

Motilal Oswal believes that quality businesses are more resilient during economic downturns and market volatility. Although these companies may trade at premium valuations compared to average businesses, they often justify such valuations through strong fundamentals and consistent value creation. By prioritizing quality, Motilal Oswal aims to reduce the risk of permanent capital loss while increasing the probability of long-term wealth creation through sustainable and compounding returns.

G

Growth

Growth is the second pillar of Motilal Oswal's QGLP (Quality, Growth, Longevity, Price) investment philosophy. The firm believes that successful long-term investing begins with identifying businesses that possess strong growth potential, expanding market opportunities, scalable business models, and the ability to increase earnings consistently over time. Rather than focusing on short-term revenue fluctuations or temporary market trends, Motilal Oswal emphasizes investing in businesses that can create value across multiple economic cycles.

Business growth is evaluated through several financial and operational parameters. Companies with strong revenue growth, consistent earnings expansion, increasing cash flows, rising market share, and improving profit margins are generally preferred. Such businesses demonstrate effective execution and operational excellence, allowing them to expand while maintaining financial discipline. Additionally, Motilal Oswal seeks companies that possess long-term growth drivers such as large addressable markets, innovative products, favorable industry trends, or expanding customer bases.

Equally important is management's ability to deliver growth. The firm places significant emphasis on investing alongside management teams that exhibit vision, execution capability, competence, and a strong commitment to shareholder value creation. Management's ability to allocate capital effectively, identify expansion opportunities, execute growth strategies, and adapt to changing market conditions is carefully assessed before making investment decisions.

Motilal Oswal believes that growth-oriented businesses are capable of creating substantial shareholder wealth over time. Although these companies may trade at premium valuations compared to average businesses, they often justify such valuations through superior earnings growth and expanding market opportunities. By prioritizing growth, Motilal Oswal aims to enhance long-term wealth creation and identify companies capable of delivering sustainable and compounding returns.

L

Longevity

Longevity is the third pillar of Motilal Oswal's QGLP (Quality, Growth, Longevity, Price) investment philosophy. The firm believes that successful long-term investing requires identifying businesses that can sustain their quality and growth over extended periods. Rather than focusing on short-term success or temporary market leadership, Motilal Oswal emphasizes investing in companies that can remain relevant, competitive, and profitable across multiple economic cycles.

Business longevity is evaluated through several strategic and operational parameters. Companies with durable competitive advantages, strong brands, loyal customer bases, resilient business models, and consistent demand for their products or services are generally preferred. Such businesses demonstrate the ability to withstand competitive pressures and changing market conditions while maintaining their market position. Additionally, Motilal Oswal seeks companies that possess long-term sustainability drivers such as innovation, adaptability, industry leadership, and strong corporate culture.

Equally important is management's ability to preserve longevity. The firm places significant emphasis on investing alongside management teams that exhibit foresight, adaptability, competence, and a strong commitment to long-term value creation. Management's ability to respond to technological disruptions, changing consumer preferences, and evolving industry dynamics is carefully assessed before making investment decisions.

Motilal Oswal believes that businesses with longevity are better positioned to create enduring shareholder wealth. Although maintaining leadership over long periods can be challenging, companies with sustainable competitive advantages often continue generating value for many years. The philosophy recognizes that true wealth creation occurs when quality businesses sustain growth for decades rather than a few years.

P

Price

Price is the fourth pillar of Motilal Oswal's QGLP (Quality, Growth, Longevity, Price) investment philosophy. The firm believes that even the highest-quality businesses should be purchased at reasonable valuations to maximize long-term returns. Rather than focusing solely on cheap stocks or short-term market sentiment, Motilal Oswal emphasizes investing in quality businesses at prices that offer an attractive balance between risk and reward. This disciplined approach helps investors remain patient, rational, and focused on long-term wealth creation rather than temporary market movements.

Price is evaluated through various valuation measures and an assessment of a company's intrinsic value. The firm compares a company's market price with its earnings potential, growth prospects, business quality, and long-term sustainability. Companies trading below or near their estimated intrinsic value are generally preferred. This approach helps investors avoid overpaying for popular stocks while identifying opportunities where the market may be undervaluing a fundamentally strong business. Maintaining valuation discipline is considered essential because the price paid for an investment directly influences future returns and overall portfolio performance.

Equally important is the concept of a margin of safety. The firm places significant emphasis on purchasing businesses at valuations that provide protection against unforeseen risks and market volatility. Even exceptional businesses can become poor investments if acquired at excessively high prices. Therefore, valuation is carefully assessed before capital is allocated, ensuring that investment decisions remain aligned with long-term objectives.

Motilal Oswal believes that price plays a crucial role in determining investment outcomes. Although quality, growth, and longevity drive wealth creation, the price paid ultimately influences returns.

Particulars (in Cr.)	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Total Stocks Held	1,760.4	3,492.6	7,336.6	17,760.0	34,305.6	43284.0	54105.0	64926.0	77911.2	93493.4
YoY Change (%)	N/A	98.40%	110.06%	142.07%	93.16%	96.90%	96.90%	96.90%	96.90%	96.90%
Cash	10.6	134.2	74.1	666.0	1,286.5	1250.7	1563.4	1876.1	2251.3	2701.6
YoY Change (%)	N/A	1164.10%	-44.78%	798.70%	93.16%	2.80%	2.80%	2.80%	2.80%	2.80%
Net Receivable / Payable	(3.5)	0.4	0.7	74.0	142.9	134.0	167.5	201.0	241.2	289.5
YoY Change (%)	N/A	-110.25%	104.33%	9885.56%	93.16%	0.30%	0.30%	0.30%	0.30%	0.30%
Total AUM	1,769.3	3,626.8	7,410.7	18,500.0	35,735.0	44668.7	55835.9	67003.1	80403.7	96484.4
YoY Change (%)	N/A	104.99%	104.33%	149.64%	93.16%	25.00%	25.00%	20.00%	20.00%	20.00%

Best Case

Particulars (in Cr.)	2026	2027	2028	2029	2030	Total Stocks Held	Net Receivable / Payable	Cash
Total Aum	48242.2	65127.0	84665.1	110064.6	143084.0	96.05%	0.15%	3.80%
YoY Change (%)	35.00%	35.00%	30.00%	30.00%	30.00%			

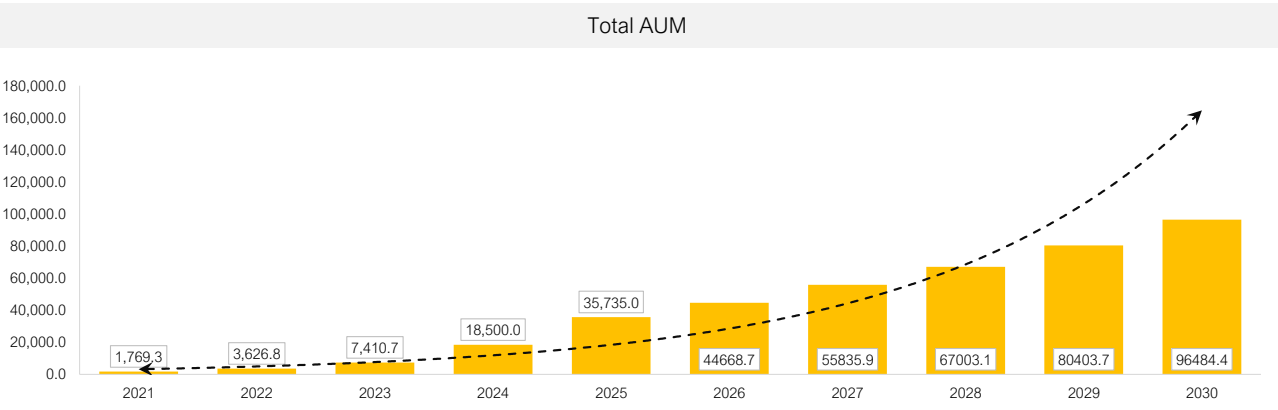
Base Case

Total Aum	44668.7	55835.9	67003.1	80403.7	96484.4	Total Stocks Held	Net Receivable / Payable	Cash
YoY Change (%)	25.00%	25.00%	20.00%	20.00%	20.00%	96.90%	0.30%	2.80%

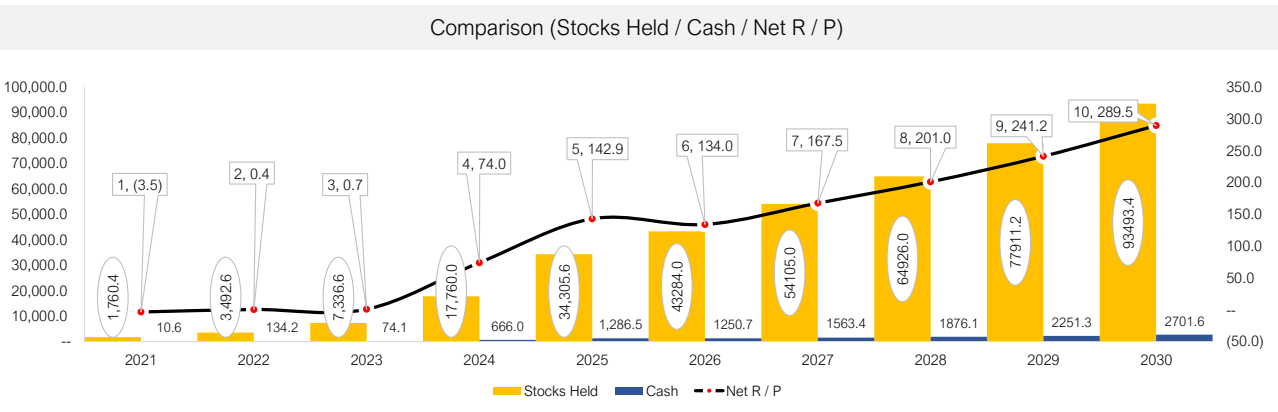
Worst Case

Total Aum	41095.2	47259.5	51985.5	57184.0	62902.4	Total Stocks Held	Net Receivable / Payable	Cash
YoY Change (%)	15.00%	15.00%	10.00%	10.00%	10.00%	97.75%	0.45%	1.80%

The forecasted results indicate continued long-term expansion in the fund's Total AUM across all three scenarios. Under the Best Case, AUM is projected to grow aggressively and exceed ₹1.4 lakh crore by 2030. The Base Case reflects stable and sustainable growth, while the Worst Case still suggests positive long-term expansion despite slower growth assumptions and comparatively weaker market conditions.



The fund maintained a highly equity-oriented allocation throughout both the historical and forecasted periods, with equity and equity-related instruments consistently contributing nearly 95–99% of total assets. Cash/TREPS allocation remained limited at approximately 1–4%, while net receivables/payables stayed close to 0%. Under the Bull, Base, and Bear case scenarios, a similar portfolio structure is efficient for longterm.



The analysis of the Best Case, Base Case, and Worst Case scenarios demonstrates the strong long-term growth potential of the Motilal Oswal Midcap Fund. Historically, the fund recorded exceptional expansion in Total Assets Under Management (AUM), increasing significantly from ₹1,769.3 crore in 2021 to ₹35,735.0 crore in 2025. This substantial growth reflects rising investor confidence, increasing SIP inflows, strong performance within the Indian midcap segment, and expanding participation in equity mutual funds. The historical data also highlights the fund's ability to maintain rapid AUM growth while preserving a highly equity-oriented portfolio structure. Under the forecasted scenarios, Total AUM is projected to reach approximately ₹62,902.4 crore in the Worst Case, ₹96,484.4 crore in the Base Case, and ₹1,43,084.0 crore in the Best Case by 2030. The Best Case assumes strong market conditions, sustained inflows, and continued outperformance, while the Base Case reflects stable and sustainable long-term growth. The Worst Case scenario, despite lower growth assumptions, still indicates positive long-term expansion and resilience of the fund. Across all scenarios, equity and equity-related instruments consistently contributed more than 95% of total assets, indicating a strong growth-focused investment strategy. Cash/TREPS allocation remained relatively limited, while net receivables/payables stayed comparatively low, reflecting efficient liquidity and operational management. Overall, the analysis suggests favorable scalability.

Particulars (in Rs.)	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
NAV	45.66	50.55	71.62	112.55	98.89	110.76	121.83	132.80	143.42	153.46
YoY Change (%)	N/A	10.71%	41.68%	57.15%	-12.14%	12.00%	10.00%	9.00%	8.00%	7.00%

Best Case

Note

Particulars (in Rs.)	2026	2027	2028	2029	2030
NAV	116.69	135.36	154.31	172.83	190.11
YoY Change (%)	18.00%	16.00%	14.00%	12.00%	10.00%

The Best Case assumes strong midcap market recovery, sustained investor confidence, and healthy earnings growth, resulting in significant NAV appreciation and strong long-term wealth creation potential between 2026 and 2030.

Base Case

Note

Particulars (in Rs.)	2026	2027	2028	2029	2030
NAV	110.76	121.83	132.80	143.42	153.46
YoY Change (%)	12.00%	10.00%	9.00%	8.00%	7.00%

The Base Case assumes stable market conditions, balanced economic growth, and moderate investor participation, leading to consistent NAV appreciation and sustainable long-term portfolio growth throughout the forecast period.

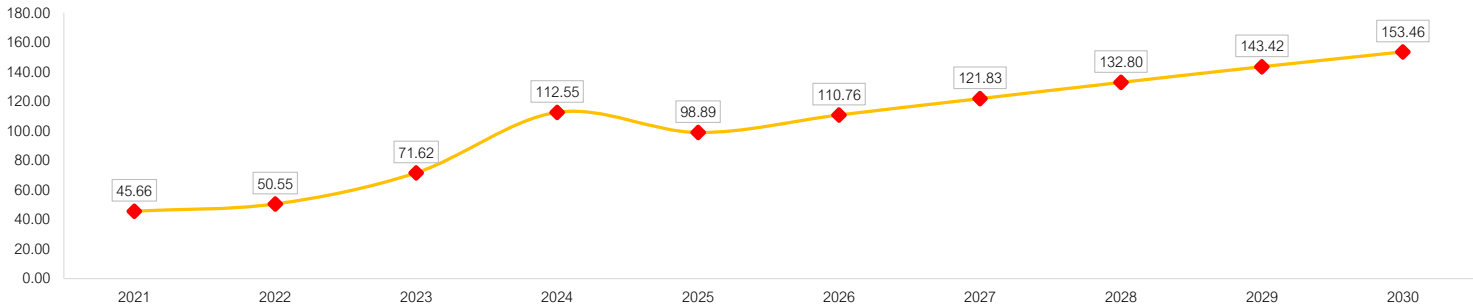
Worst Case

Note

Particulars (in Rs.)	2026	2027	2028	2029	2030
NAV	103.83	109.03	113.39	117.92	121.46
YoY Change (%)	5.00%	5.00%	4.00%	4.00%	3.00%

The Worst Case assumes weaker market sentiment, slower earnings growth, and higher volatility. Despite conservative assumptions, NAV is projected to increase gradually, reflecting resilience and long-term investment potential.

NAV Actual & Forecasted



The NAV return analysis of Motilal Oswal Midcap Fund under the Best Case, Base Case, and Worst Case scenarios provides a detailed understanding of the fund's future growth potential and long-term investment outlook from 2026 to 2030. The analysis demonstrates how different market conditions, economic performance, investor sentiment, and corporate earnings growth can influence the Net Asset Value (NAV) of the fund over time. By evaluating multiple scenarios, investors gain a broader perspective regarding the possible outcomes of their investments and understand the balance between risk and return associated with long-term investments in the midcap segment.

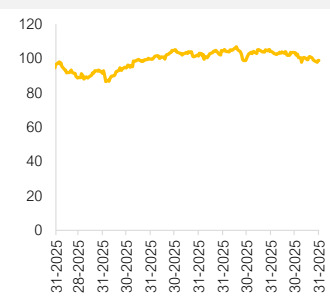
The Best Case scenario reflects highly favorable economic and market conditions where strong GDP growth, increasing corporate profitability, rising investor confidence, and healthy market participation support substantial growth in the midcap sector. Under this scenario, the NAV is projected to increase significantly from ₹98.89 in 2025 to ₹190.11 by 2030. The annual growth rates are expected to gradually decline from 18% in 2026 to 10% in 2030, indicating sustainable long-term expansion rather than speculative or unrealistic growth. This scenario assumes that midcap companies continue benefiting from rising demand, expansion opportunities, and improved operational performance. Strong domestic and institutional investor inflows may further strengthen the valuations of fundamentally strong companies within the portfolio. The substantial rise in NAV demonstrates the fund's capability to generate excellent long-term wealth creation for investors who remain invested through different market cycles. The Best Case also highlights the power of compounding, where sustained annual growth can significantly increase portfolio value over time. Investors following this scenario could achieve substantial capital appreciation and superior long-term returns.

The Base Case scenario presents moderate and realistic assumptions where economic growth remains stable, inflation stays relatively controlled, and corporate earnings continue growing at a balanced pace. Under this scenario, the NAV is expected to rise from ₹98.89 in 2025 to ₹153.46 by 2030. The projected annual growth rates gradually decline from 12% in 2026 to 7% in 2030, reflecting steady and sustainable appreciation under normal market conditions. This scenario assumes that while markets may experience short-term fluctuations and temporary volatility, overall economic stability and disciplined investing behavior will continue supporting gradual NAV growth. Although the returns are lower than the Best Case scenario, the Base Case still demonstrates strong long-term investment potential and healthy wealth creation capability. The steady increase in NAV indicates that the fund possesses strong portfolio quality, diversification, and effective management practices capable of delivering consistent returns over time. This scenario also highlights the importance of patience and long-term investing, where moderate but continuous growth can generate substantial financial benefits through compounding. Investors under this scenario may experience relatively lower volatility while still benefiting from stable portfolio appreciation and long-term capital growth.

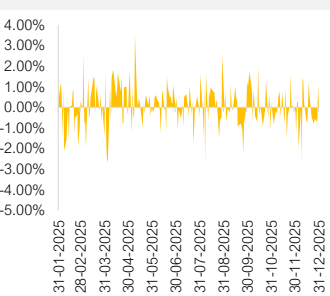
The Worst Case scenario assumes weaker economic conditions, slower earnings growth, reduced investor confidence, and higher market volatility affecting the midcap segment. In this scenario, the NAV is projected to increase gradually from ₹98.89 in 2025 to ₹121.46 by 2030. The expected annual growth rates remain conservative, ranging from 5% in 2026 to 3% in 2030. This scenario reflects challenging market conditions where inflationary pressures, slower economic activity, global uncertainties, or weaker business performance negatively impact market sentiment and equity valuations. Despite these conservative assumptions, the fund continues to maintain positive NAV growth throughout the forecast period, demonstrating the resilience and underlying strength of the portfolio. The Worst Case highlights that even during difficult market environments, disciplined long-term investing and exposure to fundamentally strong midcap businesses may still generate gradual capital appreciation rather than severe long-term losses. Although returns remain comparatively lower, the consistent positive NAV movement reflects the long-term recovery capability of equity markets and the effectiveness of diversified portfolio management. Investors may experience short-term volatility and lower returns, but the gradual appreciation still supports long-term financial growth and capital preservation.

A comparison of the three scenarios clearly demonstrates the impact of varying market conditions on overall fund performance. The Best Case delivers the highest NAV appreciation due to strong economic expansion and favorable investor sentiment, while the Base Case provides balanced and sustainable growth under realistic market conditions. The Worst Case, despite weaker assumptions, still demonstrates resilience and gradual appreciation, highlighting the defensive strength of long-term investing. This comparison emphasizes the importance of remaining invested through different market cycles to maximize the benefits of compounding and eventual market recovery.

Daily NAV Analysis



Daily Returns Analysis



CAGR Analysis

Beginning NAV	101.48
Ending NAV	98.90
Days	240

CAGR	-3.85%
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Std. Deviation Analysis

Daily Std. Deviation	1.06%
Annual Std. Deviation	16.88%

Sharpe Ratio

Risk Free Rate	6.50%
CAGR	-3.85%
Annual Std. Deviation	16.88%

Sharpe Ratio	-0.61
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VAR Analysis

90% Confidence	-1.26%
95% Confidence	-1.79%
99% Confidence	-2.68%

Drawdown Analysis

Current NAV	98.90
Peak NAV	106.81
Min NAV	86.54

Drawdown	-7.41%
Max Drawdown	-18.98%

The analysis reveals that the fund delivered a negative CAGR of -3.85% during the selected period, indicating weak overall performance. The Sharpe Ratio of -0.61 suggests poor risk-adjusted returns. However, the annualized standard deviation of 16.88% reflects moderate volatility, while the maximum drawdown of -18.98% indicates the fund experienced a notable decline from its peak NAV during market fluctuations.

Date	Daily NAV	Daily Returns	Date	Daily NAV	Daily Returns	Date	Daily NAV	Daily Returns
13-01-2025	101.483	1.12%	13-05-2025	98.916	0.46%	04-09-2025	104.084	-0.40%
14-01-2025	101.387	-0.09%	14-05-2025	99.025	0.11%	05-09-2025	104.018	-0.06%
15-01-2025	101.429	0.04%	15-05-2025	99.429	0.41%	08-09-2025	103.772	-0.24%
16-01-2025	100.813	-0.61%	16-05-2025	99.344	-0.09%	09-09-2025	104.939	1.12%
17-01-2025	101.374	0.56%	19-05-2025	98.375	-0.98%	10-09-2025	104.986	0.04%
20-01-2025	97.119	-4.20%	20-05-2025	98.588	0.22%	11-09-2025	104.829	-0.15%
21-01-2025	95.46	-1.71%	21-05-2025	98.263	-0.33%	12-09-2025	104.854	0.02%
22-01-2025	98.733	3.43%	22-05-2025	98.569	0.31%	15-09-2025	105.928	1.02%
23-01-2025	97.115	-1.64%	23-05-2025	99.152	0.59%	16-09-2025	106.266	0.32%
24-01-2025	94.56	-2.63%	26-05-2025	99.255	0.10%	17-09-2025	106.811	0.51%
27-01-2025	93.657	-0.95%	27-05-2025	99.553	0.30%	18-09-2025	105.786	-0.96%
28-01-2025	95.866	2.36%	28-05-2025	100.136	0.59%	19-09-2025	104.865	-0.87%
29-01-2025	94.476	-1.45%	29-05-2025	99.71	-0.43%	22-09-2025	104.027	-0.80%
30-01-2025	96.137	1.76%	30-05-2025	99.646	-0.06%	23-09-2025	103.015	-0.97%
31-01-2025	96.554	0.43%	02-06-2025	99.434	-0.21%	24-09-2025	101.839	-1.14%
03-02-2025	97.719	1.21%	03-06-2025	99.909	0.48%	25-09-2025	99.525	-2.27%
04-02-2025	98.012	0.30%	04-06-2025	100.437	0.53%	26-09-2025	98.73	-0.80%
05-02-2025	96.645	-1.39%	05-06-2025	101.035	0.60%	29-09-2025	98.736	0.01%
06-02-2025	97.396	0.78%	06-06-2025	101.433	0.39%	30-09-2025	99.972	1.25%
07-02-2025	95.339	-2.11%	09-06-2025	101.637	0.20%	01-10-2025	100.96	0.99%
10-02-2025	93.83	-1.58%	10-06-2025	101.362	-0.27%	03-10-2025	102.709	1.73%
11-02-2025	93.229	-0.64%	11-06-2025	100.076	-1.27%	06-10-2025	103.561	0.83%
12-02-2025	93.175	-0.06%	12-06-2025	100.064	-0.01%	07-10-2025	102.822	-0.71%
13-02-2025	91.68	-1.60%	13-06-2025	100.935	0.87%	08-10-2025	103.665	0.82%
14-02-2025	91.715	0.04%	16-06-2025	100.791	-0.14%	09-10-2025	104.117	0.44%
17-02-2025	91.795	0.09%	17-06-2025	100.737	-0.05%	10-10-2025	103.674	-0.43%
18-02-2025	92.503	0.77%	18-06-2025	99.574	-1.15%	13-10-2025	102.949	-0.70%
19-02-2025	93.257	0.82%	19-06-2025	101.103	1.54%	14-10-2025	105.054	2.04%
20-02-2025	92.087	-1.25%	20-06-2025	102.068	0.95%	15-10-2025	105.107	0.05%
21-02-2025	91.598	-0.53%	23-06-2025	102.532	0.45%	16-10-2025	104.704	-0.38%
24-02-2025	91.287	-0.34%	24-06-2025	103.093	0.55%	17-10-2025	104.79	0.08%
25-02-2025	89.568	-1.88%	25-06-2025	103.304	0.20%	20-10-2025	103.833	-0.91%
27-02-2025	88.675	-1.00%	26-06-2025	103.517	0.21%	23-10-2025	103.666	-0.16%
28-02-2025	88.919	0.28%	27-06-2025	104.642	1.09%	24-10-2025	105.014	1.30%
03-03-2025	88.857	-0.07%	30-06-2025	104.651	0.01%	27-10-2025	104.445	-0.54%
04-03-2025	91.166	2.60%	01-07-2025	105.16	0.49%	28-10-2025	105.039	0.57%
05-03-2025	90.395	-0.85%	02-07-2025	104.94	-0.21%	29-10-2025	105.221	0.17%
06-03-2025	89.822	-0.63%	03-07-2025	103.736	-1.15%	30-10-2025	104.033	-1.13%
07-03-2025	88.052	-1.97%	04-07-2025	103.614	-0.12%	31-10-2025	104.256	0.21%
10-03-2025	89.345	1.47%	07-07-2025	103.067	-0.53%	03-11-2025	103.412	-0.81%
11-03-2025	88.844	-0.56%	08-07-2025	102.825	-0.23%	04-11-2025	102.789	-0.60%
12-03-2025	88.605	-0.27%	09-07-2025	102.926	0.10%	06-11-2025	102.625	-0.16%
13-03-2025	89.011	0.46%	10-07-2025	101.956	-0.94%	07-11-2025	102.281	-0.34%
17-03-2025	90.35	1.50%	11-07-2025	102.459	0.49%	10-11-2025	103.079	0.78%
18-03-2025	91.565	1.34%	14-07-2025	103.116	0.64%	11-11-2025	103.586	0.49%
19-03-2025	91.224	-0.37%	15-07-2025	103.395	0.27%	12-11-2025	103.11	-0.46%
20-03-2025	91.859	0.70%	16-07-2025	103.399	0.00%	13-11-2025	103.1	-0.01%
21-03-2025	92.802	1.03%	17-07-2025	102.881	-0.50%	14-11-2025	103.836	0.71%
24-03-2025	92.765	-0.04%	18-07-2025	103.943	1.03%	17-11-2025	102.963	-0.84%
25-03-2025	92.65	-0.12%	21-07-2025	103.591	-0.34%	18-11-2025	103.909	0.92%
26-03-2025	93.276	0.68%	22-07-2025	103.952	0.35%	19-11-2025	103.806	-0.10%
27-03-2025	92.627	-0.70%	23-07-2025	102.077	-1.80%	20-11-2025	102.215	-1.53%
28-03-2025	92.624	0.00%	24-07-2025	101.137	-0.92%	21-11-2025	101.776	-0.43%
31-03-2025	91.343	-1.38%	25-07-2025	101.038	-0.10%	24-11-2025	101.874	0.10%
01-04-2025	92.878	1.68%	28-07-2025	101.594	0.55%	25-11-2025	103.52	1.62%
02-04-2025	91.215	-1.79%	29-07-2025	101.885	0.29%	26-11-2025	103.337	-0.18%
03-04-2025	88.938	-2.50%	30-07-2025	101.935	0.05%	27-11-2025	103.454	0.11%
04-04-2025	86.543	-2.69%	31-07-2025	101.425	-0.50%	28-11-2025	103.491	0.04%
07-04-2025	87.359	0.94%	01-08-2025	103.016	1.57%	01-12-2025	103.295	-0.19%
08-04-2025	86.749	-0.70%	04-08-2025	102.765	-0.24%	02-12-2025	102.009	-1.24%
09-04-2025	88.009	1.45%	05-08-2025	101.317	-1.41%	03-12-2025	102.27	0.26%
11-04-2025	89.618	1.83%	06-08-2025	102.224	0.90%	04-12-2025	102.546	0.27%
15-04-2025	90.068	0.50%	07-08-2025	99.452	-2.71%	05-12-2025	100.496	-2.00%
16-04-2025	90.884	0.91%	08-08-2025	101.058	1.61%	08-12-2025	100.407	-0.09%
17-04-2025	92.379	1.64%	11-08-2025	100.414	-0.64%	09-12-2025	97.728	-2.67%
21-04-2025	93.083	0.76%	12-08-2025	101.198	0.78%	10-12-2025	99.14	1.44%
22-04-2025	94.528	1.55%	13-08-2025	101.72	0.52%	11-12-2025	100.406	1.28%
23-04-2025	93.777	-0.79%	14-08-2025	102.687	0.95%	12-12-2025	100.634	0.23%
24-04-2025	93.054	-0.77%	18-08-2025	103.446	0.74%	15-12-2025	99.978	-0.65%
25-04-2025	93.967	0.98%	19-08-2025	104.174	0.70%	16-12-2025	99.243	-0.74%
28-04-2025	94.898	0.99%	20-08-2025	104.111	-0.06%	17-12-2025	99.292	0.05%
29-04-2025	94.615	-0.30%	21-08-2025	104.433	0.31%	18-12-2025	100.503	1.22%
30-04-2025	94.427	-0.20%	22-08-2025	104.72	0.27%	19-12-2025	101.048	0.54%
02-05-2025	96.12	1.79%	25-08-2025	103.152	-1.50%	22-12-2025	100.48	-0.56%
05-05-2025	94.908	-1.26%	26-08-2025	102.502	-0.63%	23-12-2025	99.887	-0.59%
06-05-2025	95.951	1.10%	28-08-2025	101.99	-0.50%	24-12-2025	99.088	-0.80%
07-05-2025	95.38	-0.60%	29-08-2025	104.585	2.54%	26-12-2025	98.523	-0.57%
08-05-2025	95.146	-0.25%	01-09-2025	104.408	-0.17%	29-12-2025	97.818	-0.72%
09-05-2025	98.48	3.50%	02-09-2025	105.258	0.81%	30-12-2025	98.895	1.10%
12-05-2025	98.459	-0.02%	03-09-2025	104.504	-0.72%	31-12-2025	98.895	0.00%

CAGR Analysis on Annual NAV

Particulars (in Rs.)	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
NAV	45.66	50.55	71.62	112.55	98.89	107.79	117.49	128.07	139.59	152.15
YoY Change (%)	N/A	10.71%	41.68%	57.15%	-12.14%	9.00%	9.00%	9.00%	9.00%	9.00%

Best Case

CAGR Assumption + Note

Particulars (in Rs.)	2026	2027	2028	2029	2030
NAV	109.77	121.84	135.25	150.12	166.64
YoY Change (%)	11.00%	11.00%	11.00%	11.00%	11.00%

CAGR	11.00%
Strong Growth Outlook	

Base Case

CAGR Assumption + Note

Particulars (in Rs.)	2026	2027	2028	2029	2030
NAV	107.79	117.49	128.07	139.59	152.15
YoY Change (%)	9.00%	9.00%	9.00%	9.00%	9.00%

CAGR	9.00%
Stable Expected Growth	

Worst Case

CAGR Assumption + Note

Particulars (in Rs.)	2026	2027	2028	2029	2030
NAV	105.81	113.22	121.14	129.62	138.70
YoY Change (%)	7.00%	7.00%	7.00%	7.00%	7.00%

CAGR	7.00%
Conservative Return Estimate	

CAGR Analysis on Daily NAV

Particulars (in Rs.)	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Ending Value in Year	45.66	50.55	71.62	112.55	98.89	111.25	125.16	140.80	158.40	178.20
Beginning Value in Year	26.24	45.66	50.55	71.62	112.55	98.89	111.25	125.16	140.80	158.40
No. of Days	252	252	252	252	252	252	252	252	252	252
CAGR	123.07%	15.88%	65.64%	92.46%	-17.09%	18.60%	18.60%	18.60%	18.60%	18.60%

Best Case

CAGR Assumption + Note

Particulars (in Rs.)	2026	2027	2028	2029	2030
Ending Value in Year	113.23	129.65	148.45	169.97	194.62
Beginning Value in Year	98.89	113.23	129.65	148.45	169.97
No. of Days	252	252	252	252	252

CAGR	14.50%
Strong daily compounding indicates high future growth potential with sustained NAV appreciation.	

Base Case

CAGR Assumption + Note

Particulars (in Rs.)	2026	2027	2028	2029	2030
Ending Value in Year	111.25	125.16	140.80	158.40	178.20
Beginning Value in Year	98.89	111.25	125.16	140.80	158.40
No. of Days	252	252	252	252	252

CAGR	12.50%
Moderate daily CAGR suggests stable growth with balanced return expectations over time.	

Worst Case

CAGR Assumption + Note

Particulars (in Rs.)	2026	2027	2028	2029	2030
Ending Value in Year	109.27	120.75	133.43	147.44	162.92
Beginning Value in Year	98.89	109.27	120.75	133.43	147.44
No. of Days	252	252	252	252	252

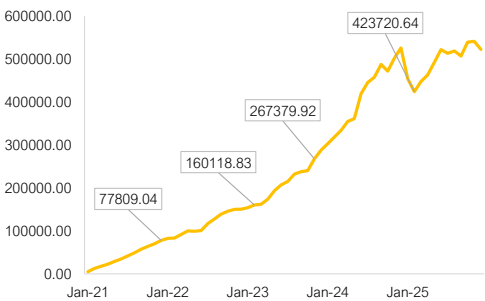
CAGR	10.50%
Lower daily CAGR reflects limited growth potential and weaker short-term performance outlook.	

The CAGR analysis of Motilal Oswal Fund provides a detailed understanding of the fund's historical growth performance and projected return potential under different market scenarios. The annual NAV analysis indicates that the fund generated strong returns during the earlier years of the study period, particularly between 2021 and 2024, reflecting healthy portfolio growth, strong market participation, and effective capital appreciation. The positive CAGR values during these years suggest that the fund successfully created wealth for investors through consistent NAV appreciation and favorable market conditions. However, the decline observed in 2025 indicates temporary weakness in market performance, resulting in lower investor returns and negative annual growth during the selected timeframe. This decline may be attributed to broader market corrections, economic uncertainty, or fluctuations in equity market performance affecting the fund's holdings. Despite this short-term decline, future CAGR projections under all three scenarios continue to indicate positive long-term growth expectations. The best-case scenario assumes strong market recovery, improved portfolio performance, favorable economic conditions, and higher investor confidence, resulting in stronger projected CAGR values and significant NAV appreciation over the coming years. The base-case scenario reflects moderate and stable growth expectations under normal market conditions, suggesting balanced return generation and sustainable long-term investment performance. The worst-case scenario adopts a conservative approach, indicating slower but still positive capital appreciation despite weaker market momentum and uncertain economic conditions. The daily NAV CAGR analysis further highlights short-term fluctuations and market volatility affecting fund performance. Although the fund experienced negative daily CAGR during the recent period, projected future growth assumptions remain positive across all scenarios, reflecting the possibility of recovery and continued long-term value creation. Overall, the CAGR analysis suggests that while the fund experienced temporary short-term underperformance, its long-term outlook remains positive, with the potential to generate stable wealth creation and consistent capital appreciation for investors.

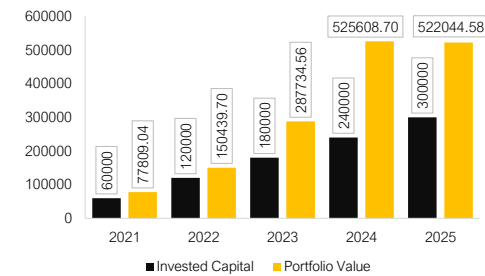
Date	NAV	Monthly SIP	Units Purch.	Total Units	Portfolio Val.
Jan-21	21.19	5000	236.00	236.00	5000.00
Feb-21	32.33	5000	154.68	390.68	12628.86
Mar-21	32.49	5000	153.92	544.60	17691.37
Apr-21	32.54	5000	153.67	698.27	22719.69
May-21	34.20	5000	146.22	844.49	28878.12
Jun-21	35.47	5000	140.97	985.46	34952.31
Jul-21	37.59	5000	133.01	1118.47	42044.44
Aug-21	39.39	5000	126.92	1245.39	49061.05
Sep-21	42.04	5000	118.94	1364.33	57353.87
Oct-21	43.22	5000	115.69	1480.02	63965.15
Nov-21	43.75	5000	114.29	1594.31	69749.56
Dec-21	45.67	5000	109.49	1703.80	77809.04
Jan-22	45.56	5000	109.74	1813.54	82630.14
Feb-22	43.24	5000	115.62	1929.16	83424.55
Mar-22	44.90	5000	111.36	2040.52	91621.17
Apr-22	46.45	5000	107.65	2148.16	99777.85
May-22	43.72	5000	114.38	2262.54	98906.92
Jun-22	42.24	5000	118.39	2380.92	100558.36
Jul-22	46.94	5000	106.51	2487.43	116770.14
Aug-22	49.44	5000	101.14	2588.57	127971.31
Sep-22	51.71	5000	96.69	2685.26	138862.90
Oct-22	52.36	5000	95.49	2780.76	145597.58
Nov-22	52.09	5000	95.99	2876.75	149844.00
Dec-22	50.56	5000	98.90	2975.65	150439.70
Jan-23	50.11	5000	99.79	3075.44	154094.71
Feb-23	50.44	5000	99.13	3174.57	160118.83
Mar-23	49.39	5000	101.23	3275.80	161798.23
Apr-23	51.43	5000	97.23	3373.02	173464.48
May-23	55.86	5000	89.51	3462.54	193406.97
Jun-23	58.23	5000	85.86	3548.40	206630.50
Jul-23	59.20	5000	84.46	3632.86	215058.26
Aug-23	62.50	5000	80.00	3712.86	232064.87
Sep-23	62.60	5000	79.88	3792.74	237413.88
Oct-23	61.99	5000	80.66	3873.40	240107.90
Nov-23	67.74	5000	73.81	3947.21	267379.92
Dec-23	71.63	5000	69.80	4017.01	287734.56
Jan-24	74.08	5000	67.49	4084.51	302584.27
Feb-24	76.69	5000	65.20	4149.71	318228.49
Mar-24	79.20	5000	63.13	4212.84	333652.55
Apr-24	82.93	5000	60.29	4273.13	354366.44
May-24	83.29	5000	60.03	4333.16	360917.59
Jun-24	95.54	5000	52.33	4385.49	419007.47
Jul-24	100.34	5000	49.83	4435.32	445027.13
Aug-24	101.95	5000	49.05	4484.37	457168.00
Sep-24	107.54	5000	46.49	4530.86	487267.02
Oct-24	102.97	5000	48.56	4579.42	471533.79
Nov-24	108.42	5000	46.12	4625.54	501519.11
Dec-24	112.55	5000	44.42	4669.96	525608.70
Jan-25	96.14	5000	52.01	4721.97	453955.97
Feb-25	88.68	5000	56.39	4778.36	423720.64
Mar-25	92.62	5000	53.98	4832.34	447590.36
Apr-25	94.62	5000	52.85	4885.18	462211.54
May-25	99.71	5000	50.15	4935.33	492101.55
Jun-25	104.64	5000	47.78	4983.11	521442.58
Jul-25	101.94	5000	49.05	5032.16	512953.31
Aug-25	101.99	5000	49.02	5081.19	518230.07
Sep-25	98.74	5000	50.64	5131.83	506695.90
Oct-25	104.03	5000	48.06	5179.89	538879.18
Nov-25	103.45	5000	48.33	5228.22	540880.02
Dec-25	98.90	5000	50.56	5278.78	522044.58

SIP Amount to be Invested	5000
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SIP Growth Graph



Comparison Invested Capital Vs Portfolio Value

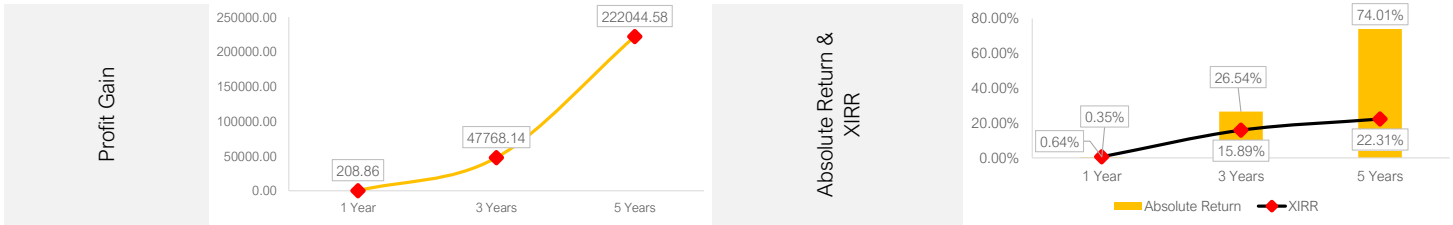


The SIP analysis of Motilal Oswal Fund demonstrates the importance of disciplined and long-term investing in achieving substantial wealth creation. The study was conducted using a monthly SIP amount of ₹5,000 from January 2021 to December 2025 based on monthly NAV data. Over the 5-year investment horizon, the total investment of ₹3,00,000 grew to a final portfolio value of ₹5,22,044, generating a profit gain of ₹2,22,044. The fund delivered an impressive absolute return of 74.01% along with an XIRR of 22.31%, highlighting strong long-term growth potential and efficient wealth generation. The 3-year SIP investment also produced strong performance, where an investment of ₹1,80,000 increased to ₹2,27,768, resulting in an absolute return of 26.54% and XIRR of 15.89%. In comparison, the 1-year SIP generated relatively lower returns due to short-term market fluctuations, emphasizing the importance of remaining invested for longer durations to maximize the benefits of compounding and market growth. The analysis further highlighted the advantages of rupee cost averaging, where lower NAV periods enabled investors to accumulate higher units, ultimately enhancing portfolio growth when NAV levels increased. The comparison between invested capital and portfolio value clearly demonstrated the effectiveness of systematic investing in reducing market timing risk and creating long-term financial stability. Overall, the fund exhibited strong SIP performance and proved suitable for investors seeking disciplined, consistent, and long-term wealth creation through systematic investment plans.

SIP Return Summary

Investment Period	Monthly SIP	Total Invest.	Final Val.	Profit Gain	Absolute Ret.	XIRR
Months						
12	5000	60000	60208.86	208.86	0.35%	0.64%
36	5000	180000	227768.14	47768.14	26.54%	15.89%
60	5000	300000	522044.58	222044.58	74.01%	22.31%

The SIP analysis highlights strong long-term wealth creation through disciplined investing, rupee cost averaging, consistent portfolio growth, and improved returns over longer investment periods. Shorter investments indicates risk.



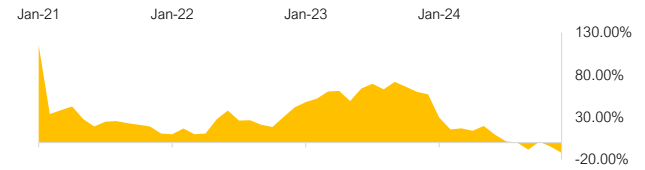
1 Year Rolling Returns

Start Date	End Date	Start NAV	End NAV	Rolling Ret.
Jan-21	Jan-22	21.186	45.56	115.06%
Feb-21	Feb-22	32.325	43.24	33.78%
Mar-21	Mar-22	32.485	44.90	38.22%
Apr-21	Apr-22	32.537	46.45	42.75%
May-21	May-22	34.196	43.72	27.84%
Jun-21	Jun-22	35.468	42.24	19.08%
Jul-21	Jul-22	37.591	46.94	24.88%
Aug-21	Aug-22	39.394	49.44	25.49%
Sep-21	Sep-22	42.038	51.71	23.01%
Oct-21	Oct-22	43.219	52.36	21.15%
Nov-21	Nov-22	43.749	52.09	19.06%
Dec-21	Dec-22	45.668	50.56	10.71%
Jan-22	Jan-23	45.563	50.11	9.97%
Feb-22	Feb-23	43.244	50.44	16.64%
Mar-22	Mar-23	44.901	49.39	10.00%
Apr-22	Apr-23	46.448	51.43	10.72%
May-22	May-23	43.715	55.86	27.78%
Jun-22	Jun-23	42.235	58.23	37.88%
Jul-22	Jul-23	46.944	59.20	26.10%
Aug-22	Aug-23	49.437	62.50	26.43%
Sep-22	Sep-23	51.713	62.60	21.05%
Oct-22	Oct-23	52.359	61.99	18.39%
Nov-22	Nov-23	52.088	67.74	30.05%
Dec-22	Dec-23	50.557	71.63	41.68%
Jan-23	Jan-24	50.105	74.08	47.85%
Feb-23	Feb-24	50.438	76.69	52.04%
Mar-23	Mar-24	49.392	79.20	60.35%
Apr-23	Apr-24	51.427	82.93	61.26%
May-23	May-24	55.857	83.29	49.12%
Jun-23	Jun-24	58.232	95.54	64.07%
Jul-23	Jul-24	59.198	100.34	69.49%
Aug-23	Aug-24	62.503	101.95	63.11%
Sep-23	Sep-24	62.597	107.54	71.80%
Oct-23	Oct-24	61.989	102.97	66.11%
Nov-23	Nov-24	67.739	108.42	60.06%
Dec-23	Dec-24	71.629	112.55	57.13%
Jan-24	Jan-25	74.081	96.14	29.77%
Feb-24	Feb-25	76.687	88.68	15.63%
Mar-24	Mar-25	79.199	92.62	16.95%
Apr-24	Apr-25	82.929	94.62	14.09%
May-24	May-25	83.292	99.71	19.71%
Jun-24	Jun-25	95.544	104.64	9.52%
Jul-24	Jul-25	100.337	101.94	1.59%
Aug-24	Aug-25	101.947	101.99	0.04%
Sep-24	Sep-25	107.544	98.74	-8.19%
Oct-24	Oct-25	102.968	104.03	1.03%
Nov-24	Nov-25	108.424	103.45	-4.58%
Dec-24	Dec-25	112.551	98.90	-12.13%

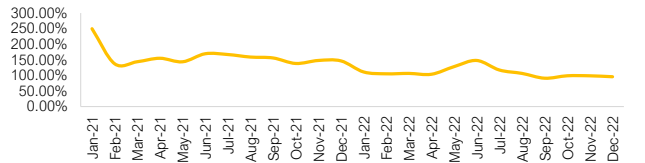
3 Years Rolling Returns

Start Date	End Date	Start NAV	End NAV	Rolling Ret.
Jan-21	Jan-24	21.186	74.081	249.67%
Feb-21	Feb-24	32.325	76.687	137.24%
Mar-21	Mar-24	32.485	79.199	143.80%
Apr-21	Apr-24	32.537	82.929	154.88%
May-21	May-24	34.196	83.292	143.57%
Jun-21	Jun-24	35.468	95.544	169.38%
Jul-21	Jul-24	37.591	100.337	166.92%
Aug-21	Aug-24	39.394	101.947	158.79%
Sep-21	Sep-24	42.038	107.544	155.83%
Oct-21	Oct-24	43.219	102.968	138.25%
Nov-21	Nov-24	43.749	108.424	147.83%
Dec-21	Dec-24	45.668	112.551	146.45%
Jan-22	Jan-25	45.563	96.137	111.00%
Feb-22	Feb-25	43.244	88.675	105.06%
Mar-22	Mar-25	44.901	92.624	106.28%
Apr-22	Apr-25	46.448	94.615	103.70%
May-22	May-25	43.715	99.71	128.09%
Jun-22	Jun-25	42.235	104.642	147.76%
Jul-22	Jul-25	46.944	101.935	117.14%
Aug-22	Aug-25	49.437	101.99	106.30%
Sep-22	Sep-25	51.713	98.736	90.93%
Oct-22	Oct-25	52.359	104.033	98.69%
Nov-22	Nov-25	52.088	103.454	98.61%
Dec-22	Dec-25	50.557	98.895	95.61%

1 Year Rolling Returns



3 Years Rolling Returns



The rolling return analysis of Motilal Oswal Midcap Fund provides a comprehensive understanding of the fund's consistency, stability, and long-term investment performance across varying market conditions. Unlike point-to-point returns, rolling returns continuously evaluate fund performance over multiple periods, making them one of the most reliable methods for assessing mutual fund consistency and long-term wealth creation capability. The analysis was conducted using both 1-year and 3-year rolling return periods based on monthly NAV data from 2021 to 2025. The findings clearly demonstrate the impact of short-term market volatility while also highlighting the advantages of long-term investing in equity mutual funds.

The 1-year rolling return analysis showed relatively higher fluctuations because short-term returns are more sensitive to market conditions, investor sentiment, economic uncertainty, and valuation movements. During the initial periods, the fund generated exceptionally strong returns as the NAV appreciated sharply from lower levels. For example, the rolling return from January 2021 to January 2022 reached 115.06%, while several other periods during 2021 and 2022 generated returns above 20% to 40%. These strong returns reflected improving market sentiment, recovery in equity markets, and significant growth in the midcap segment. Investors who entered the fund during lower NAV periods benefited substantially from rising market valuations and strong portfolio appreciation over the following year.

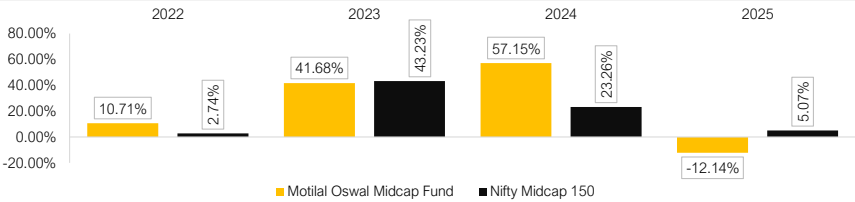
However, the analysis also highlighted the effect of market volatility on short-term rolling returns. During later periods, particularly between 2024 and 2025, rolling returns moderated significantly and even turned negative in certain months. For instance, the rolling return from December 2024 to December 2025 declined to -12.13%, while September 2024 to September 2025 recorded -8.19%. These declines indicate the impact of market corrections, higher valuation pressures, and temporary weakness in investor sentiment. Such volatility is common in midcap-oriented investments because midcap companies generally possess higher growth potential along with higher market sensitivity compared to large-cap stocks. The short-term fluctuations observed in the analysis emphasize the importance of avoiding investment decisions based solely on temporary market movements and focusing instead on long-term investment horizons.

In contrast, the 3-year rolling return analysis demonstrated significantly greater consistency and stability. Most of the 3-year rolling periods generated exceptionally strong returns, with several periods exceeding 100%. The highest 3-year rolling return reached 249.67% between January 2021 and January 2024, while many other periods generated returns between 140% and 170%. These results clearly highlight the strong long-term growth capability of the fund and the benefits of remaining invested for extended durations. The longer investment horizon reduced the impact of temporary market corrections and enabled investors to benefit more effectively from compounding and sustained NAV appreciation.

The comparison between 1-year and 3-year rolling returns clearly demonstrates the importance of long-term investing in mutual funds. While short-term rolling returns experienced higher volatility and temporary negative periods, long-term rolling returns remained comparatively stable and consistently positive. This indicates that remaining invested for longer periods reduces market timing risk and improves the probability of generating attractive returns. Overall, the rolling return analysis suggests that Motilal Oswal Midcap Fund possesses strong long-term growth potential, resilience during volatile market conditions, and effective wealth creation capability for disciplined long-term investors. The analysis reinforces the importance of patience, systematic investing, and maintaining investments through varying market cycles to maximize the benefits of compounding and long-term capital appreciation while achieving sustainable financial growth and long-term portfolio stability consistently.

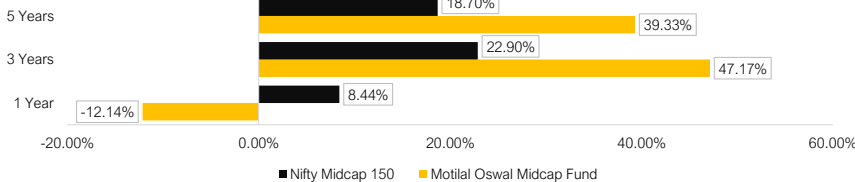
Returns Comparison

Year	Midcap F	Nifty Mid 150	Performance
2021	N/A	N/A	N/A
2022	10.71%	2.74%	7.97%
2023	41.68%	43.23%	-1.55%
2024	57.15%	23.26%	33.89%
2025	-12.14%	5.07%	-17.21%



CAGR Comparison

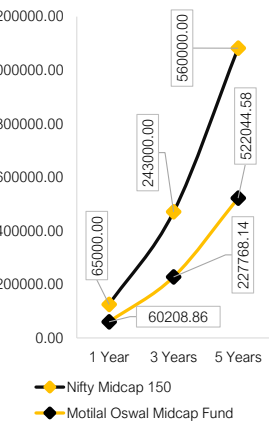
Period	Midcap F	Nifty Mid 150	Performance
1 Year	-12.14%	8.44%	-20.58%
3 Years	47.17%	22.90%	24.27%
5 Years	39.33%	18.70%	20.63%



SIP Performance Comparison

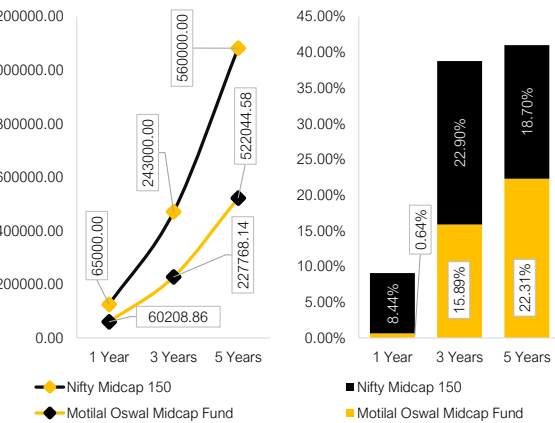
1 Year

Parameter	Midcap F	Nifty Mid 150	Performance
Final Value	60208.86	65000.00	-4791.14
XIRR	0.64%	8.44%	-7.80%
Absolute Return	0.35%	8.33%	-7.98%



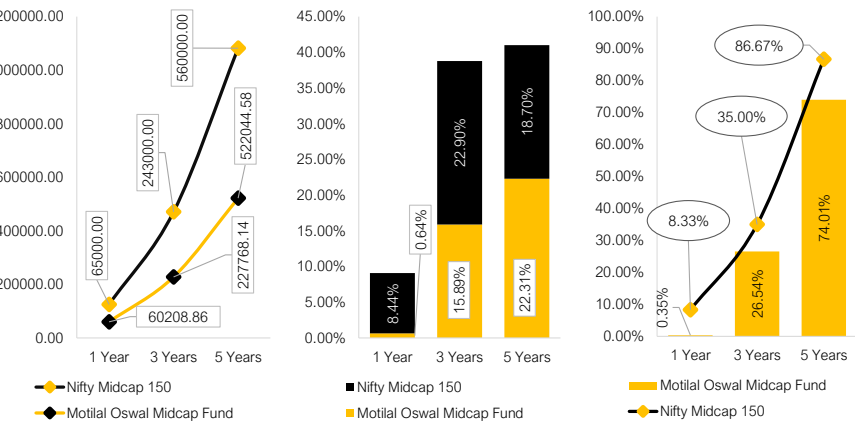
3 Years

Parameter	Midcap F	Nifty Mid 150	Performance
Final Value	227768.14	243000.00	-15231.86
XIRR	15.89%	22.90%	-7.01%
Absolute Return	26.54%	35.00%	-8.46%



5 Years

Parameter	Midcap F	Nifty Mid 150	Performance
Final Value	522044.58	560000.00	-37955.42
XIRR	22.31%	18.70%	3.61%
Absolute Return	74.01%	86.67%	-12.66%



Rolling Returns Comparison

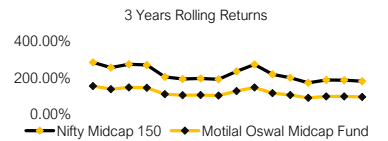
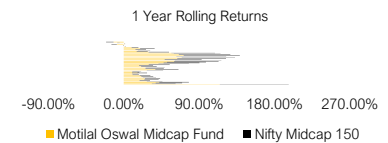
1 Year

Start Date	Midcap F	Nifty Mid 150
Jan-21	115.06%	82.50%
Feb-21	33.78%	28.40%
Mar-21	38.22%	31.70%
Apr-21	42.75%	35.20%
May-21	27.84%	18.60%
Jun-21	19.08%	12.40%
Jul-21	24.88%	16.90%
Aug-21	25.49%	18.30%
Sep-21	23.01%	15.80%
Oct-21	21.15%	14.20%
Nov-21	19.06%	12.90%
Dec-21	10.71%	7.50%
Jan-22	9.97%	6.80%
Feb-22	16.64%	11.40%
Mar-22	10.00%	8.70%
Apr-22	10.72%	10.20%
May-22	27.78%	19.50%
Jun-22	37.88%	27.80%
Jul-22	26.10%	21.90%
Aug-22	26.43%	22.70%
Sep-22	21.05%	18.50%
Oct-22	18.39%	16.80%
Nov-22	30.05%	25.10%
Dec-22	41.68%	36.40%
Jan-23	47.85%	42.80%
Feb-23	52.04%	46.50%
Mar-23	60.35%	53.20%
Apr-23	61.26%	55.70%
May-23	49.12%	44.10%
Jun-23	64.07%	58.30%

Start Date	Midcap F	Nifty Mid 150
Jul-23	69.49%	63.80%
Aug-23	63.11%	59.60%
Sep-23	71.80%	67.20%
Oct-23	66.11%	61.50%
Nov-23	60.06%	55.80%
Dec-23	57.13%	52.10%
Jan-24	29.77%	24.50%
Feb-24	15.63%	13.20%
Mar-24	16.95%	14.80%
Apr-24	14.09%	12.60%
May-24	19.71%	17.30%
Jun-24	9.52%	8.10%
Jul-24	1.59%	1.20%
Aug-24	0.04%	-0.60%
Sep-24	-8.19%	-6.40%
Oct-24	1.03%	0.80%
Nov-24	-4.58%	-3.10%
Dec-24	-12.13%	-8.90%

Start Date	Midcap F	Nifty Mid 150
Jan-21	249.67%	180.50%
Feb-21	137.24%	112.30%
Mar-21	143.80%	118.70%
Apr-21	154.88%	128.50%
May-21	143.57%	121.80%
Jun-21	169.38%	142.40%
Jul-21	166.92%	139.60%
Aug-21	158.79%	133.80%

Sep-21	155.83%	129.40%
Oct-21	138.25%	118.60%
Nov-21	147.83%	126.90%
Dec-21	146.45%	124.30%
Jan-22	111.00%	94.80%
Feb-22	105.06%	89.60%
Mar-22	106.28%	91.30%
Apr-22	103.70%	88.70%
May-22	128.09%	108.20%
Jun-22	147.76%	126.50%
Jul-22	117.14%	102.80%
Aug-22	106.30%	94.70%
Sep-22	90.93%	82.40%
Oct-22	98.69%	90.10%
Nov-22	98.61%	89.40%
Dec-22	95.61%	86.80%



Metrics	Motilal Oswal Midcap Fund	HDFC Midcap Fund Op.	Edelweiss Midcap Fund	SBI Magnum Midcap Fund	Nippon Midcap Fund
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AUM

AUM	35734.98	78000.00	15800.00	23247.00	36000.00
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Expense Ratio

2025 Total Operating Exp	553.89	1092.00	276.50	385.90	525.60
AUM	35734.98	78000	15800	23247	36000
Expense Ratio	1.55%	1.40%	1.75%	1.66%	1.46%

Return / CAGR

1 Year CAGR	-3.85%	8.05%	10.32%	2.10%	13.00%
3 Year CAGR	47.17%	23.90%	26.00%	20.00%	28.00%
5 Year CAGR	39.33%	28.00%	22.00%	22.00%	27.00%
Since Inception Return	21.30%	17.20%	18.00%	16.00%	21.00%

Standard Deviation

Daily Standard Deviation	1.06%	1.13%	1.13%	1.17%	1.20%
Annual Standard Deviation	16.88%	18.00%	17.90%	18.50%	19.00%

Sharpe Ratio

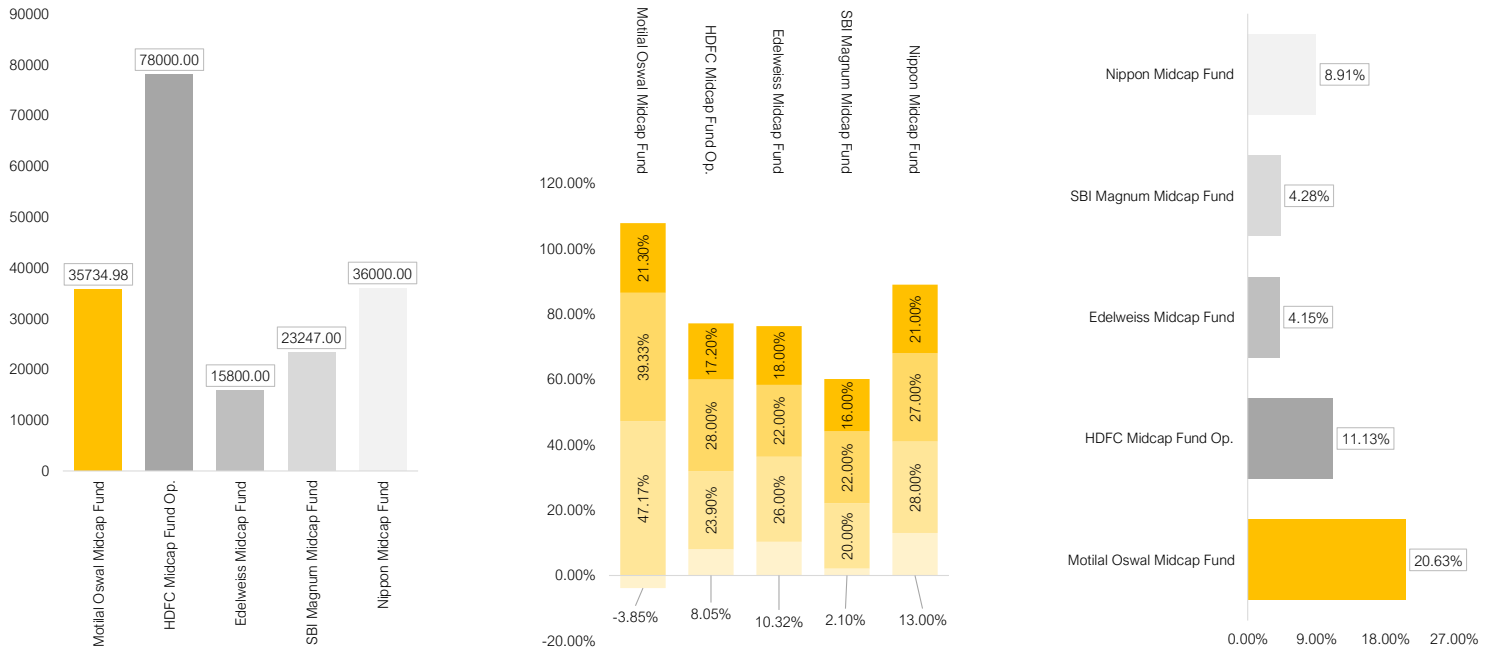
Risk Free Rate	6.50%	6.50%	6.50%	6.50%	6.50%
CAGR	-3.85%	8.05%	10.32%	2.10%	13.00%
Annual Standard Deviation	16.88%	18.00%	17.90%	18.50%	19.00%
Sharpe Ratio	-0.61	0.09	0.21	-0.24	0.34

Beta

Beta	0.89	0.85	0.93	0.92	0.95
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Alpha

Risk Free Rate	6.50%	6.50%	6.50%	6.50%	6.50%
Beta	0.89	0.85	0.93	0.92	0.95
5 Year CAGR Fund	39.33%	28.00%	22.00%	22.00%	27.00%
5 Year CAGR Benchmark	18.70%	18.70%	18.70%	18.70%	18.70%
Aplha	21.96%	11.13%	4.15%	4.28%	8.91%



Metrics	Motilal Oswal Midcap Fund	HDFC Midcap Fund Op.	Edelweiss Midcap Fund	SBI Magnum Midcap Fund	Nippon Midcap Fund
Standard Deviation					
Annual Standard Deviation	16.88%	18.00%	17.90%	18.50%	19.00%
Beta					
Beta	0.89	0.85	0.93	0.92	0.95
Alpha					
Risk Free Rate	6.50%	6.50%	6.50%	6.50%	6.50%
Beta	0.89	0.85	0.93	0.92	0.95
5 Year CAGR Fund	39.33%	28.00%	22.00%	22.00%	27.00%
5 Year CAGR Benchmark	18.70%	18.70%	18.70%	18.70%	18.70%
Aplha	21.96%	11.13%	4.15%	4.28%	8.91%
Sharpe Ratio					
Risk Free Rate	6.50%	6.50%	6.50%	6.50%	6.50%
CAGR	-3.85%	8.05%	10.32%	2.10%	13.00%
Annual Standard Deviation	16.88%	18.00%	17.90%	18.50%	19.00%
Sharpe Ratio	-0.61	0.09	0.21	-0.24	0.34
Sortino Ratio					
5 Year CAGR Fund	39.33%	28.00%	22.00%	22.00%	27.00%
Risk Free Rate	6.50%	6.50%	6.50%	6.50%	6.50%
Downside Deviation	10.18%	14.83%	11.40%	11.31%	16.80%
Sortino Ratio	3.23	1.45	1.36	1.37	1.22
Max Drawdown					
Max Drawdown 2025	-18.98%	-16.42%	-12.81	-17.51%	-19.54
The risk metrics analysis of the Motilal Oswal Midcap Fund demonstrates the fund's ability to generate superior returns while maintaining an effective balance between risk and reward. Mid-cap mutual funds are generally associated with higher growth potential than large-cap funds, but they also carry greater volatility due to their exposure to companies that are still in the expansion phase of their business cycle. As a result, evaluating risk-adjusted performance becomes essential in determining whether a fund is generating returns efficiently. Based on the analysis of key indicators such as standard deviation, beta, alpha, and Sortino Ratio, the Motilal Oswal Midcap Fund has displayed strong performance and emerged as one of the most efficient funds within its peer group. Standard deviation is one of the most widely used measures of risk because it reflects the volatility of returns around their average value. A lower standard deviation generally indicates more stable performance and lower uncertainty. The Motilal Oswal Midcap Fund recorded an annual standard deviation of 16.88%, which is the lowest among all peer funds included in the analysis. In comparison, HDFC Midcap Fund, Edelweiss Midcap Fund, SBI Magnum Midcap Fund, and Nippon India Midcap Fund reported standard deviations of 18.00%, 17.90%, 18.50%, and 19.00%, respectively. This lower volatility suggests that the fund has been able to provide investors with relatively stable returns despite operating in the inherently volatile mid-cap segment. Such consistency is particularly valuable during periods of market uncertainty, as it reduces the likelihood of sharp fluctuations in portfolio value and encourages long-term investment discipline. The fund's beta of 0.89 further strengthens its risk profile. Beta measures the sensitivity of a fund's returns to movements in the benchmark index and serves as an indicator of systematic risk. A beta value below 1 indicates that the fund is less volatile than the broader market and tends to experience smaller price movements during periods of market fluctuation. The Motilal Oswal Midcap Fund's beta demonstrates that it has effectively managed market-related risk while still maintaining exposure to growth opportunities within the equity market. This characteristic is beneficial for investors seeking long-term capital appreciation without excessive exposure to market volatility. Another key finding from the analysis is the fund's alpha of 21.96%, which is substantially higher than that of its peer funds. Alpha measures the excess return generated by a fund after adjusting for the level of market risk undertaken. A positive alpha indicates that the fund manager has successfully added value through superior stock selection and portfolio management. The exceptionally high alpha generated by the Motilal Oswal Midcap Fund highlights the effectiveness of its investment strategy and reflects the successful implementation of Motilal Oswal's QGLP (Quality, Growth, Longevity, and Price) investment philosophy. This philosophy focuses on investing in high-quality businesses with sustainable growth prospects and durable competitive advantages, which has contributed significantly to the fund's strong performance. The Sortino Ratio of 3.23 provides further evidence of the fund's superior risk-adjusted performance. Unlike the Sharpe Ratio, which considers total volatility, the Sortino Ratio focuses specifically on downside risk and measures the return generated for every unit of harmful volatility. A higher Sortino Ratio indicates more efficient risk-adjusted returns. The Motilal Oswal Midcap Fund recorded the highest Sortino Ratio among all peer funds analyzed, significantly outperforming competing funds whose ratios ranged between approximately 1.22 and 1.45. This result indicates that the fund has generated substantially higher returns for every unit of downside risk assumed and has been highly effective in minimizing harmful volatility while maximizing investor returns. Furthermore, the fund's impressive 5-year CAGR of 39.33% significantly exceeds both the benchmark return of 18.70% and the returns delivered by competing mid-cap funds. Achieving such exceptional returns while maintaining lower volatility and stronger risk-adjusted metrics demonstrates the strength of the fund's investment strategy and portfolio management process. The consistency of this performance suggests that the fund's success is not merely the result of favorable market conditions but rather a reflection of disciplined stock selection, extensive research, and a well-defined investment framework. Overall, the risk metrics analysis clearly indicates that the Motilal Oswal Midcap Fund has delivered outstanding performance while maintaining a disciplined approach to risk management. Its lowest standard deviation, favorable beta, exceptionally high alpha, highest Sortino Ratio, and superior long-term CAGR collectively demonstrate its ability to generate substantial wealth while effectively controlling risk. These metrics highlight not only the fund's strong return-generating capability but also its efficiency in managing both market risk and downside risk. Therefore, based on the analysis of these risk measures, the Motilal Oswal Midcap Fund emerges as the strongest performer within the selected peer group and represents a compelling investment option for long-term investors seeking capital appreciation, benchmark outperformance, and superior risk-adjusted returns in the mid-cap equity segment.					

Vulnerability to Mid-Cap Market Corrections

One of the major drawbacks of the Motilal Oswal Midcap Fund is its significant exposure to the mid-cap segment, which is generally more volatile than large-cap stocks. Mid-cap companies are often in the expansion stage of their business lifecycle and possess higher growth potential; however, they are also more sensitive to economic slowdowns, changes in interest rates, inflationary pressures, and fluctuations in investor sentiment. During periods of market uncertainty, investors tend to shift their capital toward relatively safer large-cap companies, resulting in sharper declines in mid-cap stock prices. The performance history of the fund demonstrates that it is not immune to such market movements. While the fund has generated strong long-term returns, periods of market correction have led to substantial declines in NAV and temporary underperformance. Since the fund invests predominantly in mid-cap companies, its portfolio is naturally exposed to higher levels of volatility than diversified equity funds with larger allocations to large-cap stocks. As a result, investors may experience significant fluctuations in portfolio value over shorter investment horizons. Although these corrections often create opportunities for long-term wealth creation, they require investors to remain patient and disciplined. Investors with low risk tolerance or those seeking stable returns may find the volatility associated with mid-cap investments uncomfortable. Therefore, the fund is best suited for investors who can withstand short-term market fluctuations while focusing on long-term capital appreciation.

Recent Short-Term Underperformance

Despite its impressive long-term track record, the Motilal Oswal Midcap Fund has experienced periods of short-term underperformance that may concern investors. During 2025, the fund delivered a return of approximately -12.14%, while its benchmark, the Nifty Midcap 150 Index, generated a positive return of around 5.07%. This resulted in an underperformance of more than 17 percentage points compared to the benchmark. Such a significant performance gap highlights that even fundamentally strong and professionally managed funds can encounter challenging periods when market conditions do not favor their investment style. The fund's investment philosophy emphasizes quality growth companies with long-term potential. However, markets often move in cycles, and there can be periods when growth-oriented stocks underperform value stocks, cyclical businesses, or other sectors favored by investors. During such phases, the fund may lag behind both the benchmark and competing funds despite maintaining a portfolio of fundamentally strong businesses. Short-term underperformance can negatively affect investor confidence, particularly among those who focus heavily on recent returns. Investors may become impatient and redeem their investments at unfavorable times, thereby missing potential future recoveries. While the fund's long-term performance remains strong, this period demonstrates that superior historical returns do not guarantee consistent outperformance in every market environment. Investors must therefore be prepared for temporary setbacks and maintain a long-term perspective when evaluating fund performance.

High Drawdown Risk During Market Stress

Another important drawback of the Motilal Oswal Midcap Fund is its exposure to significant drawdown risk during periods of market stress. Drawdown refers to the decline in portfolio value from its highest point to its lowest point before recovery. According to the risk analysis conducted, the fund experienced a maximum drawdown of approximately -18.98%, indicating that investors could witness substantial temporary losses during unfavorable market conditions. Such drawdowns are common in equity-oriented funds, particularly those investing in mid-cap stocks. However, they can have a significant psychological impact on investors. A decline of nearly 19% in portfolio value may cause anxiety and lead some investors to sell their investments prematurely. This behavior can lock in losses and prevent investors from benefiting when markets eventually recover. The drawdown risk is particularly relevant during periods of economic uncertainty, geopolitical tensions, rising interest rates, or broad market corrections. Mid-cap stocks often react more sharply to such events because they generally possess lower financial strength and liquidity compared to established large-cap companies. Consequently, the fund may experience steeper declines than more conservative investment options. Although long-term investors may recover these losses through future market appreciation, the possibility of substantial temporary declines remains a significant risk factor. Investors considering the fund should assess their ability to tolerate market downturns and remain invested during difficult periods. Without sufficient patience and risk tolerance, the volatility associated with drawdowns can become challenging to manage effectively.

Dependence on a Concentrated Investment Strategy

The Motilal Oswal Midcap Fund follows a high-conviction investment strategy that often results in a relatively concentrated portfolio compared to many diversified mutual funds. Rather than spreading investments across a large number of stocks, the fund focuses on a select group of companies that the fund manager believes possess superior growth potential and strong fundamentals. While this approach can significantly enhance returns when investment decisions are correct, it also introduces a higher degree of concentration risk. A concentrated portfolio means that the performance of a limited number of holdings can have a substantial impact on overall fund returns. If one or more major portfolio companies experience operational challenges, earnings disappointments, regulatory issues, or adverse industry developments, the fund may face noticeable underperformance. Unlike highly diversified funds where poor performance from one stock may have limited impact, concentrated portfolios are more sensitive to company-specific events. Furthermore, concentration risk may increase during periods of market volatility when investors reassess the valuations of high-growth companies. Since a larger portion of the portfolio is invested in fewer stocks, negative developments can lead to more pronounced declines in fund performance. Although the strategy has historically contributed to strong alpha generation and benchmark outperformance, it also increases dependence on the success of individual investment decisions. Therefore, investors should recognize that the fund's concentrated approach can create higher short-term risk despite its potential to generate superior long-term returns.

Growth Style Dependency

A significant drawback of the Motilal Oswal Midcap Fund is its strong dependence on a growth-oriented investment strategy. The fund follows Motilal Oswal's QGLP (Quality, Growth, Longevity, and Price) philosophy, which emphasizes investing in companies with strong growth potential, sustainable competitive advantages, and long-term earnings expansion. While this approach has historically generated substantial returns for investors, it also exposes the fund to style-related risks. Financial markets move through different investment cycles. During certain periods, investors prefer growth stocks because of their strong earnings potential. However, during other periods, value stocks, cyclical businesses, or defensive sectors may outperform. When market sentiment shifts away from growth-oriented companies, funds with a heavy growth bias often experience periods of underperformance. This can occur even when the underlying businesses continue to perform well operationally. The Motilal Oswal Midcap Fund's investment style therefore makes its performance highly dependent on market preference for growth stocks. If economic conditions, interest rates, or investor sentiment become unfavorable for growth-oriented investments, the fund may struggle to outperform its benchmark and peers. While the QGLP philosophy has been successful over the long term, investors must understand that no investment style performs consistently across all market conditions. Consequently, temporary periods of underperformance should be expected as part of the fund's growth-focused strategy.

Large Asset Size May Impact Future Flexibility

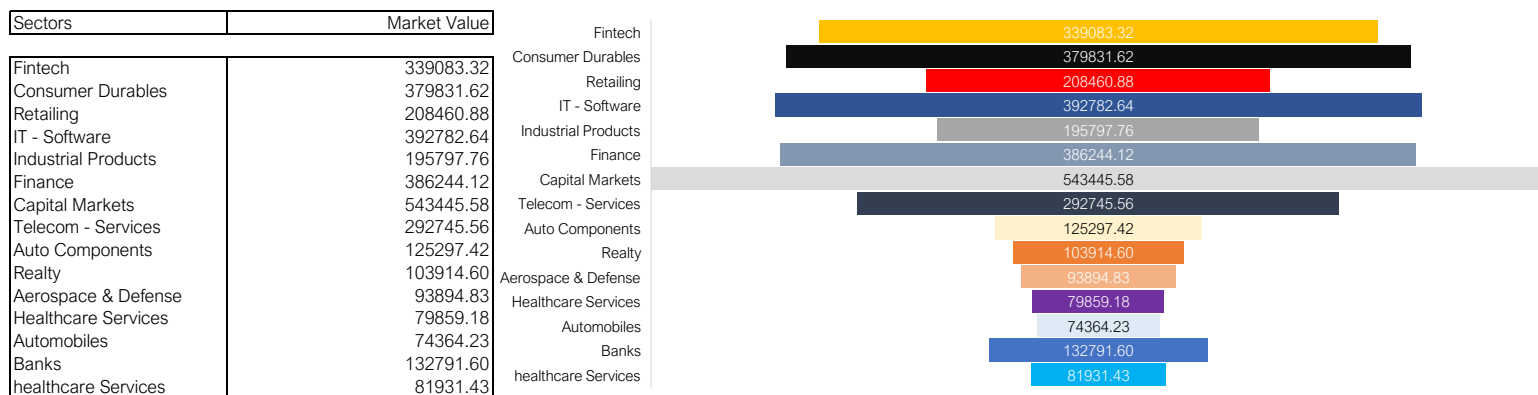
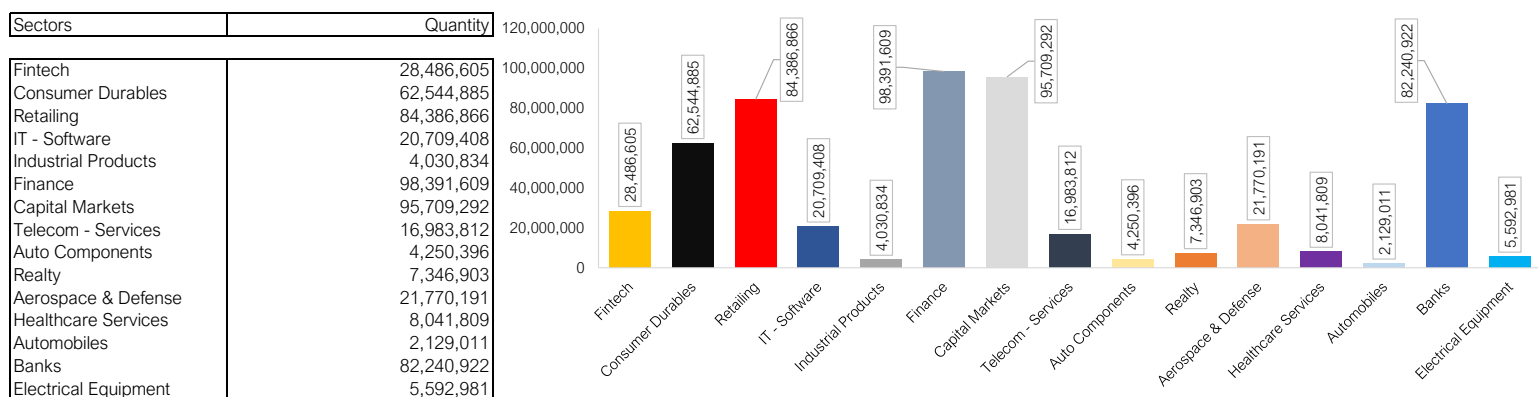
The rapid growth in Assets Under Management (AUM) represents another potential challenge for the Motilal Oswal Midcap Fund. The fund's AUM increased significantly from approximately ₹1,769 crore in 2021 to more than ₹35,734 crore in 2025, reflecting strong investor confidence and growing popularity. Although a large AUM is generally viewed as a sign of success, it can create operational and portfolio management challenges, particularly in the mid-cap segment. Mid-cap stocks generally have lower trading volumes and liquidity compared to large-cap stocks. As the fund grows larger, deploying substantial amounts of capital into mid-cap companies becomes increasingly difficult without influencing stock prices. Similarly, exiting large positions during periods of market stress may become more challenging due to limited liquidity. These constraints can reduce the fund manager's flexibility in making investment decisions and implementing portfolio changes efficiently. A larger asset base may also limit the fund's ability to invest in smaller but potentially high-growth opportunities because significant investments could distort market prices. Over time, this can reduce the effectiveness of the fund's stock selection strategy and potentially impact future returns. While the fund's strong research capabilities and experienced management team may help address these challenges, investors should recognize that rapid asset growth can sometimes make it more difficult to maintain historical levels of outperformance within the mid-cap category.

Unsuitable for Conservative or Short-Term Investors

The Motilal Oswal Midcap Fund is categorized as a very high-risk investment and is therefore not suitable for every type of investor. The fund primarily targets long-term capital appreciation through investments in mid-cap companies, which are generally more volatile than large-cap businesses. As a result, investors seeking stable returns, regular income, or low-risk investment options may find the fund unsuitable for their financial objectives. The fund's performance history demonstrates that significant short-term fluctuations are possible. Investors may experience periods of negative returns, temporary underperformance, and substantial drawdowns during market corrections. Such volatility can be difficult for conservative investors to tolerate, particularly those who prioritize capital preservation over growth. Furthermore, investors with short investment horizons may not remain invested long enough to benefit from the long-term growth potential of the fund's portfolio companies. Successful investing in the Motilal Oswal Midcap Fund requires patience, discipline, and the ability to withstand market fluctuations. Financial goals with short timelines, such as purchasing a vehicle, funding education expenses, or meeting near-term obligations, may not align well with the fund's risk profile. Therefore, the fund is more appropriate for investors with a minimum investment horizon of five years or longer, strong risk tolerance, and a focus on long-term wealth creation rather than short-term performance. Therefore, investors seeking stability and predictable returns may find alternative investment options more suitable for their financial goals.

Sector	Name of Instrument	ISIN Code	Quantity	Market Value	% to NAV
Fintech	One 97 Communication	INE982J01020	23,765,865	260,426.35	7.29
Consumer Durables	Kalyan Jewellers	INE303R01014	61,413,395	253,483.79	7.09
Retailing	Eternals Limited	INE758T01015	84,386,866	208,460.88	5.83
IT - Software	Coforage Ltd	INE591G01025	16,682,915	199,510.98	5.58
Industrial Products	KEI Industries	INE878B01027	4,030,834	195,797.76	5.48
IT - Software	Persistent Sys.	INE262H01021	4,026,493	193,271.66	5.41
Finance	Aditya B Cap. L	INE674K01013	53,459,381	184,702.16	5.17
Capital Markets	Billionbrains G.	INE0HOQ0105	84,616,660	181,917.36	5.09
Telecom - Services	Bharti Airtel	INE397D01024	9,483,812	178,940.56	5.01
Capital Markets	MCEIL	INE745G01043	5,209,458	154,799.04	4.33
Capital Markets	BSE Ltd.	INE118H01025	3,757,062	136,775.84	3.83
Consumer Durables	Dixon Tech	INE935N01020	1,131,490	126,347.83	3.54
Auto Components	Tube Invst.	INE974X01010	4,250,396	125,297.42	3.51
Telecom - Services	Bharti Hexacom	INE343G01021	7,500,000	113,805.00	3.18
Finance	Shriram Finance	INE721A01047	11,534,478	108,118.43	3.03
Realty	Presitige Estates Projects	INE811K01011	7,346,903	103,914.60	2.91
Aerospace & Defense	Bharti Electronics	INE263A01024	21,770,191	93,894.83	2.63
Finance	L & T Finance Ltd	INE498L01015	33,397,750	93,423.53	2.61
Healthcare Services	Max Healthcare	INE027H01010	8,041,809	79,859.18	2.23
Fintech	PB Fintech Ltd.	INE417T01026	4,720,740	78,656.97	2.20
Automobiles	TVS Motors	INE494B01023	2,129,011	74,364.23	2.08
Capital Markets	ICICI PAMCL	INE346A01027	2,126,112	69,953.34	1.96
Banks	IDFC First Bank Ltd.	INE092T01019	75,189,240	52,361.79	1.47
Electrical Equipment	Premier Engeries Ltd.	INE0BS701011	4,403,516	44,834.40	1.25
Banks	Axis Bank Ltd.	INE238A01034	3,482,566	44,169.38	1.24
Electrical Equipment	Waaree Energies	INE377N01017	1,189,465	37,097.03	1.04
Banks	AU Small Finance Bank Ltd.	INE949L01017	3,569,116	36,260.43	1.01

Total	542,615,524	3,430,445	96
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Motilal Oswal Midcap Fund showcases a well-diversified and growth-oriented sector allocation that is consistent with its objective of generating long-term capital appreciation. The fund has meaningful exposure to sectors such as Capital Markets, Finance, IT Software, Consumer Durables, Fintech, and Retailing, highlighting the fund manager's focus on businesses that can benefit from India's expanding economy, increasing financial inclusion, and technological advancement. These sectors are expected to play a crucial role in driving earnings growth and creating shareholder value over the long term.

In addition to its core sector exposures, the portfolio includes allocations to Telecom Services, Healthcare Services, Industrial Products, Aerospace & Defence, Automobiles, and Banking. This broad sector representation helps enhance diversification and reduces dependence on any single industry for performance. The portfolio construction reflects a preference for companies with strong fundamentals, competitive positioning, and sustainable growth potential.

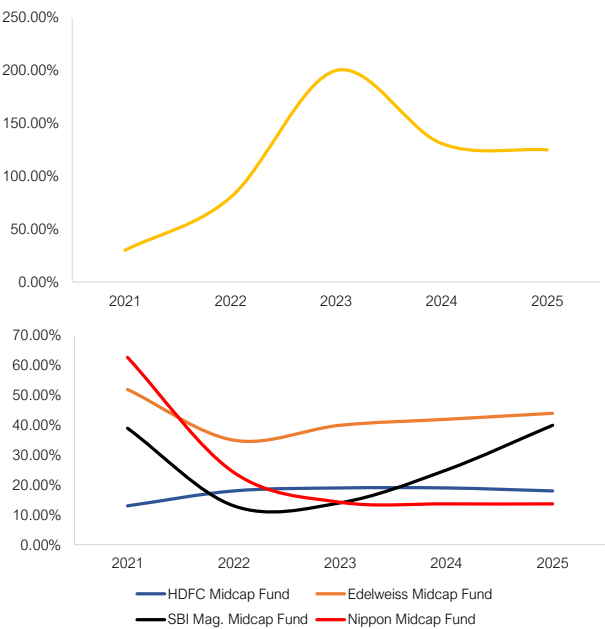
While the concentration in high-growth sectors may expose the fund to higher volatility during market downturns, it also increases the possibility of generating superior returns during favorable market conditions. The sector allocation remains aligned with the fund's investment philosophy and demonstrates a conviction-based approach to stock selection. Overall, the portfolio appears well-positioned to benefit from long-term economic trends and emerging opportunities, making it an attractive investment option for investors seeking long-term wealth creation and willing to tolerate moderate to high levels of risk.

Year	2021	2022	2023	2024	2025
Min (Purchases,Sales)	N/A	2158.42	11037.50	16971.51	33896.86
Average AUM	N/A	2698.03	5518.75	12955.35	27117.49
Portfolio Turnover Ratio	30.00%	80.00%	200.00%	131.00%	125.00%

The Portfolio Turnover Ratio (PTR) of Motilal Oswal Midcap Fund increased significantly from 30% in 2021 to 80% in 2022 and peaked at 200% in 2023. This sharp rise indicates a highly active investment approach, with the fund manager making substantial portfolio changes to capitalize on emerging opportunities in the midcap segment. The ratio moderated to 131% in 2024 and 125% in 2025, suggesting a more balanced yet actively managed strategy. Despite the decline from the 2023 peak, the fund continues to exhibit higher trading activity than most peers, reflecting proactive portfolio management and frequent rebalancing.

Peer PTR	2021	2022	2023	2024	2025
HDFC Midcap Fund	13.00%	18.00%	19.00%	19.00%	18.00%
Edelweiss Midcap Fund	52.00%	35.00%	40.00%	42.00%	44.00%
SBI Mag. Midcap Fund	39.00%	13.00%	14.00%	25.00%	40.00%
Nippon Midcap Fund	62.74%	24.20%	14.21%	13.66%	13.66%

Compared to its peers, Motilal Oswal Midcap Fund maintained a substantially higher Portfolio Turnover Ratio throughout the period. HDFC Midcap Fund showed consistently low turnover, ranging between 13% and 19%, indicating a buy-and-hold approach. Edelweiss Midcap Fund maintained moderate turnover levels between 35% and 52%, reflecting selective portfolio adjustments. SBI Magnum Midcap Fund experienced fluctuations, declining initially before rising to 40% in 2025. Nippon India Growth Fund recorded high turnover in 2021 but stabilized near 14% thereafter. Overall, Motilal Oswal Midcap Fund was perfectly managed fund.



Portfolio Turnover Ratio (PTR) is an important measure used to evaluate the trading activity of a mutual fund. It indicates the frequency with which securities in a portfolio are bought and sold during a financial year relative to the fund's average Assets Under Management (AUM). A low turnover ratio generally reflects a long-term buy-and-hold investment approach, while a high turnover ratio suggests active portfolio management and frequent rebalancing. Therefore, PTR provides investors with valuable insight into a fund manager's investment style, portfolio strategy, and decision-making process.

The Portfolio Turnover Ratio of Motilal Oswal Midcap Fund exhibited significant changes between 2021 and 2025, reflecting the fund manager's evolving approach toward portfolio management. In 2021, the fund recorded a PTR of 30%, indicating relatively low trading activity. Such a level suggests that the fund manager maintained strong conviction in existing portfolio holdings and preferred to hold investments for longer periods. This approach is generally associated with lower transaction costs and a focus on long-term wealth creation through carefully selected businesses with sustainable growth potential.

In 2022, the turnover ratio increased sharply to 80%. This substantial increase indicates that the fund manager became more active in adjusting portfolio holdings in response to changing market conditions. During this period, financial markets experienced volatility due to inflation concerns, interest rate hikes, geopolitical uncertainties, and changes in sectoral performance. The increase in turnover suggests that the fund manager actively repositioned the portfolio to capitalize on emerging opportunities and mitigate potential risks. Such flexibility can be beneficial in dynamic market environments where company fundamentals and sector outlooks evolve rapidly.

The most notable development occurred in 2023 when the Portfolio Turnover Ratio rose dramatically to 200%. This was an exceptionally high level compared to both the fund's historical turnover and the turnover ratios of competing midcap funds. A turnover ratio of 200% indicates that the portfolio was effectively restructured multiple times during the year. This level of activity reflects an aggressive and highly active investment strategy. During 2023, the Indian midcap segment witnessed strong growth, improving earnings expectations, and significant investor participation. The fund manager appears to have actively rotated investments to take advantage of changing opportunities, attractive valuations, and sectoral shifts. Such extensive portfolio adjustments demonstrate a proactive approach aimed at maximizing returns in a rapidly evolving market environment.

Although the turnover ratio declined after reaching its peak, it remained considerably high. In 2024, the PTR stood at 131%, while in 2025 it moderated slightly to 125%. These levels indicate that the fund continued to follow an active management strategy even after the major portfolio restructuring of 2023. The decline suggests that the manager required fewer large-scale changes as portfolio positions matured and investment themes became more established. However, turnover levels above 100% still indicate substantial trading activity and highlight the fund's commitment to actively identifying and capturing investment opportunities.

A comparison with peer funds provides additional perspective on the fund's investment style. HDFC Midcap Fund maintained turnover ratios between 13% and 19% during the same period, reflecting a conservative buy-and-hold approach. Edelweiss Midcap Fund recorded turnover ratios ranging from 35% to 52%, indicating moderate portfolio activity. SBI Magnum Midcap Fund displayed turnover levels between 13% and 40%, while Nippon India Growth Fund reduced its turnover from approximately 63% in 2021 to around 14% in later years. Compared with these peer funds, Motilal Oswal Midcap Fund consistently maintained significantly higher turnover levels, especially from 2023 onward. This demonstrates a fundamentally different investment philosophy centered on active portfolio management and dynamic capital allocation.

The high turnover ratio offers several potential advantages. Active portfolio management allows the fund manager to quickly respond to changing economic conditions, earnings revisions, sector rotations, and valuation opportunities. In the midcap segment, where companies often experience rapid growth and changing business dynamics, active stock selection can generate substantial alpha and improve portfolio performance. By continuously evaluating opportunities and reallocating capital, the fund manager seeks to maximize returns while maintaining exposure to companies with strong growth prospects.

However, a high turnover ratio also presents certain challenges. Frequent trading may increase transaction costs, brokerage expenses, and portfolio management costs. Excessive portfolio activity can also lead to greater short-term volatility and increase dependence on the fund manager's ability to consistently identify attractive investment opportunities. Therefore, investors should evaluate turnover ratio in conjunction with other performance indicators such as returns, Sharpe Ratio, Sortino Ratio, alpha, beta, and consistency of benchmark outperformance.

Looking ahead, the future outlook for Motilal Oswal Midcap Fund remains positive. India's economy continues to benefit from favorable demographics, rising consumption, infrastructure development, manufacturing expansion, digital transformation, and supportive government policies. These structural growth drivers are expected to create numerous opportunities within the midcap segment over the coming years. Midcap companies often possess higher growth potential than large-cap companies and can benefit significantly from economic expansion.

It is unlikely that the fund will consistently maintain the extraordinary turnover ratio of 200% witnessed in 2023. As the portfolio matures and assets under management continue to increase, turnover levels are expected to stabilize. However, considering Motilal Oswal's active investment philosophy, the fund is likely to continue maintaining turnover levels above those of most peer funds. A turnover range of approximately 80% to 130% appears realistic over the medium term. Such levels would allow the fund manager to remain flexible, capture emerging opportunities, and respond effectively to changing market conditions without engaging in excessive portfolio churn.

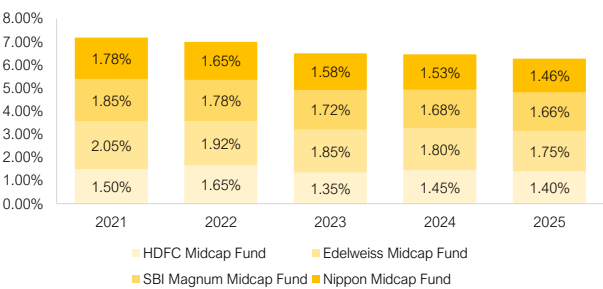
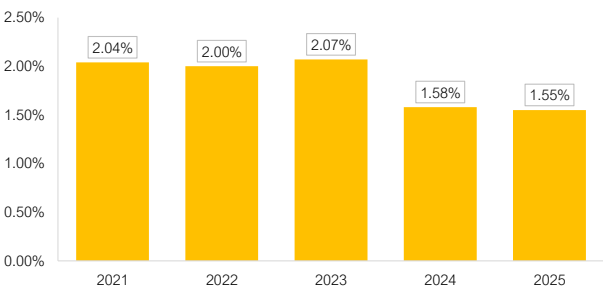
In conclusion, the Portfolio Turnover Ratio analysis demonstrates that Motilal Oswal Midcap Fund follows a highly active and dynamic investment strategy. The increase from 30% in 2021 to 200% in 2023 reflects significant portfolio repositioning and a strong emphasis on identifying growth opportunities within the midcap segment. Although turnover levels moderated during 2024 and 2025, they remained substantially above peer averages, indicating continued active management. Compared with HDFC Midcap Fund, Edelweiss Midcap Fund, SBI Magnum Midcap Fund, and Nippon India Growth Fund, Motilal Oswal Midcap Fund exhibited the highest level of trading activity. Going forward, active portfolio management is expected to remain a defining characteristic of the fund.

Year	2021	2022	2023	2024	2025
Total Operating Exp.	N/A	53.96	114.24	204.69	420.32
Average Aum	N/A	2698.03	5518.75	12955.35	27117.49
Expense Ratio	2.04%	2.00%	2.07%	1.58%	1.55%

The expense ratio of Motilal Oswal Midcap Fund remained relatively stable between 2021 and 2023, fluctuating between 2.00% and 2.07%. During this period, the fund maintained a concentrated portfolio and active investment approach, which contributed to a comparatively higher expense ratio. However, a significant decline was observed in 2024 and 2025, when the expense ratio reduced to 1.58% and 1.55% respectively. This reduction coincided with a sharp increase in the fund's average AUM from ₹5,518.75 crore in 2023 to ₹27,117.49 crore in 2025. The lower expense ratio benefits investors by reducing costs.

Peer Expense Ratio	2021	2022	2023	2024	2025
HDFC Midcap Fund	1.50%	1.65%	1.35%	1.45%	1.40%
Edelweiss Midcap Fund	2.05%	1.92%	1.85%	1.80%	1.75%
SBI Mag. Midcap Fund	1.85%	1.78%	1.72%	1.68%	1.66%
Nippon Midcap Fund	1.78%	1.65%	1.58%	1.53%	1.46%

Among the peer funds, HDFC Midcap Fund consistently maintained the lowest expense ratio, ranging from 1.35% to 1.65% during 2021–2025, reflecting strong cost efficiency. SBI Magnum Midcap Fund and Nippon India Midcap Fund reported moderate expense ratios with a gradual declining trend over the period. Edelweiss Midcap Fund had the highest expense ratio among the peers, though it also witnessed a steady reduction. Overall, all peer funds showed improving cost structures, benefiting investors through lower expenses and potentially higher net returns over the long term.



The expense ratio is an important measure for evaluating the efficiency and cost-effectiveness of a mutual fund. It represents the annual percentage of a fund's assets that is used to cover management fees, administrative expenses, and other operating costs. Since these expenses are deducted directly from the fund's assets, they have a direct impact on the returns ultimately received by investors. Therefore, an analysis of the expense ratio helps in understanding how efficiently a fund is managed and whether investors are receiving adequate value for the costs incurred. The expense ratio analysis of Motilal Oswal Midcap Fund and its peer funds from 2021 to 2025 provides useful insights into the fund's operational efficiency and competitive position within the midcap mutual fund category.

The analysis indicates that Motilal Oswal Midcap Fund maintained a relatively higher expense ratio during the initial years of the study period. The expense ratio stood at 2.04% in 2021, declined slightly to 2.00% in 2022, and increased marginally to 2.07% in 2023. Compared to most peer funds, these figures were on the higher side, indicating that the fund incurred greater management and operating costs. This can be attributed to the fund's active investment strategy, extensive research process, and concentrated portfolio approach. Managing a focused portfolio of high-conviction investments often requires significant research and monitoring efforts, resulting in comparatively higher expenses.

A significant improvement was observed during the latter part of the study period. The fund's average Assets Under Management (AUM) increased substantially from ₹5,518.75 crore in 2023 to ₹12,955.35 crore in 2024 and further to ₹27,117.49 crore in 2025. This rapid growth reflects increasing investor confidence in the fund's performance and investment philosophy. As the AUM expanded, the fund benefited from economies of scale, enabling operational expenses to be spread across a much larger asset base.

The impact of this growth is clearly visible in the expense ratio figures. After reaching 2.07% in 2023, the expense ratio declined sharply to 1.58% in 2024 and further to 1.55% in 2025. This reduction represents a significant improvement in cost efficiency. Although total operating expenses increased over the years, the growth in AUM was much faster than the increase in expenses. As a result, the overall cost burden on investors decreased substantially. This demonstrates that the fund has effectively utilized its growing scale to improve operational efficiency and reduce investor costs.

For investors, the decline in expense ratio is a positive development. A lower expense ratio means that a larger portion of the fund's gross returns remains available to investors. Over long investment horizons, even a small reduction in annual expenses can have a meaningful impact on wealth creation because of the compounding effect. Therefore, the reduction in expenses enhances the attractiveness of the fund and improves its ability to generate higher net returns for investors.

The peer comparison provides additional insights into the fund's relative position. HDFC Midcap Fund consistently maintained the lowest expense ratio among the selected funds throughout the study period. Its expense ratio remained within a range of approximately 1.35% to 1.65%, indicating strong operational efficiency and effective cost management. This made HDFC Midcap Fund one of the most cost-efficient options in the peer group.

SBI Magnum Midcap Fund also demonstrated stable expense management with a gradual decline in costs over the years. Similarly, Nippon India Midcap Fund maintained moderate expense ratios and showed continuous improvement throughout the study period. Both funds benefited from increasing asset bases and efficient management practices, enabling them to offer relatively lower costs to investors.

Edelweiss Midcap Fund reported one of the highest expense ratios among the peer funds. However, it also experienced a gradual reduction in expenses between 2021 and 2025. Despite the improvement, its expense ratio remained above several competitors during most of the study period. Nevertheless, the declining trend reflects a broader industry movement toward improved cost efficiency.

One notable observation from the analysis is that all selected midcap funds recorded declining expense ratios during the five-year period. This trend highlights the increasing efficiency of the mutual fund industry as a whole. Factors such as rising AUM levels, technological advancements, enhanced competition among asset management companies, and regulatory measures aimed at protecting investor interests have contributed to lower expense ratios across the industry. As funds grow larger, they are generally able to distribute costs more effectively, resulting in lower expenses for investors.

Although Motilal Oswal Midcap Fund started the study period with one of the highest expense ratios among its peers, the situation improved significantly by 2025. The expense ratio of 1.55% brought the fund much closer to its competitors and narrowed the gap considerably. While some peers continued to maintain slightly lower expense ratios, the difference became much less significant than in earlier years. This improvement demonstrates the fund's success in converting AUM growth into tangible benefits for investors.

It is also important to recognize that expense ratio should not be considered in isolation. A fund with a slightly higher expense ratio may still be attractive if it consistently generates superior returns and creates value for investors. Motilal Oswal Midcap Fund follows a focused investment philosophy that emphasizes quality businesses and long-term wealth creation. Such an approach requires active management and extensive research, which can justify somewhat higher expenses if accompanied by strong performance.

In conclusion, the expense ratio analysis reveals a significant improvement in the cost efficiency of Motilal Oswal Midcap Fund during the period 2021–2025. The fund successfully reduced its expense ratio from above 2% to nearly 1.5%, primarily due to strong growth in assets under management and the resulting economies of scale. While certain peer funds maintained lower expense ratios throughout the period, Motilal Oswal Midcap Fund substantially narrowed the gap and became increasingly competitive from a cost perspective. The declining expense ratio, combined with growing investor confidence and expanding AUM, reflects effective operational management and enhances the fund's long-term appeal. If the current trend continues, investors are likely to benefit from further improvements in cost efficiency and stronger net returns in the future. Overall, the declining expense ratio strengthens the fund's investment appeal and positions it favorably for sustainable long-term investor wealth creation.

2021

The year 2021 was an important period for Motilal Oswal Midcap Fund as it represented the first full calendar year under the management of Niket Shah, who had taken over the fund in July 2020. Niket Shah brought extensive experience in equity research, particularly in the mid-cap segment, having previously served as the Head of Midcap Research at Motilal Oswal Securities. His investment approach was strongly aligned with the fund house's QGLP philosophy, which focuses on Quality, Growth, Longevity, and Price. During 2021, the Indian economy witnessed a gradual recovery from the disruptions caused by the COVID-19 pandemic, creating significant opportunities in the mid-cap space. The fund manager focused on identifying fundamentally strong businesses with sustainable competitive advantages and long-term growth potential. Rather than pursuing short-term market trends, he concentrated on companies capable of delivering consistent earnings growth over many years. The portfolio remained relatively concentrated, allowing greater allocation to high-conviction investment ideas. This strategy reflected the fund manager's confidence in thorough research and disciplined stock selection. The year established a strong foundation for future growth and demonstrated Niket Shah's commitment to long-term wealth creation. His emphasis on business quality, management capability, and scalability of operations helped position the fund to benefit from India's economic recovery and expanding corporate profitability.

2022

In 2022, Motilal Oswal Midcap Fund continued to be managed by Niket Shah, who maintained a disciplined and research-driven investment approach despite challenging global and domestic market conditions. Financial markets across the world experienced heightened volatility due to rising inflation, increasing interest rates, geopolitical tensions, and concerns regarding economic growth. During such uncertain circumstances, the role of the fund manager became increasingly important in protecting investor capital while continuing to pursue growth opportunities. Niket Shah remained committed to the QGLP investment framework and focused on businesses with strong balance sheets, capable management teams, and sustainable competitive advantages. Instead of making frequent portfolio changes in response to short-term market fluctuations, he emphasized patience and conviction in fundamentally strong companies. The concentrated portfolio strategy continued to be a defining feature of the fund, allowing significant exposure to selected businesses expected to generate superior long-term returns. His extensive experience in analyzing mid-cap companies enabled him to identify firms capable of navigating difficult economic environments while maintaining growth potential. Throughout the year, the fund manager demonstrated consistency in investment philosophy and decision-making. By prioritizing quality over speculation and maintaining a long-term perspective, Niket Shah ensured that the portfolio remained aligned with the fund's objective of capital appreciation, reinforcing investor confidence during a period of significant market uncertainty.

2023

The year 2023 was a strong period for the Indian mid-cap segment, and Motilal Oswal Midcap Fund benefited significantly from the investment decisions made under the leadership of Niket Shah. As economic activity strengthened and corporate earnings improved across several sectors, the fund manager continued to focus on identifying high-quality businesses with scalable growth opportunities. His expertise in mid-cap research played a crucial role in selecting companies capable of delivering long-term value creation. The fund maintained its concentrated portfolio structure, reflecting confidence in a limited number of carefully researched investment ideas. Rather than diversifying excessively, Niket Shah preferred allocating capital to businesses where he possessed strong conviction regarding future growth prospects. During the year, sectors such as manufacturing, industrials, financial services, and consumer-oriented businesses offered attractive opportunities, and the fund manager actively evaluated companies within these segments based on their earnings potential and competitive positioning. The QGLP philosophy remained central to the investment process, ensuring that portfolio companies met strict standards of quality, growth potential, longevity, and valuation discipline. His ability to combine detailed fundamental research with a long-term investment horizon contributed positively to the fund's performance. The year highlighted the effectiveness of his stock-picking capabilities and reinforced the importance of disciplined portfolio management in generating superior returns for investors.

2024

A major development in 2024 was the expansion of the fund management team overseeing Motilal Oswal Midcap Fund. While Niket Shah continued as the lead fund manager, experienced professionals Ajay Khandelwal and Santosh Singh were added to the management structure. This strategic decision reflected the growing scale of the fund and the need to strengthen research and portfolio management capabilities. Despite the introduction of additional managers, the core investment philosophy remained unchanged. The management team continued to follow the QGLP framework and focused on identifying businesses capable of generating sustainable long-term growth. Niket Shah's leadership remained a key influence on investment decisions, ensuring consistency in portfolio construction and stock selection. The addition of new managers enhanced collaboration and diversified analytical perspectives while reducing dependence on a single individual. This helped improve continuity and succession planning within the fund house. During the year, the management team continued to monitor portfolio holdings carefully, assessing changing industry dynamics, earnings trends, and valuation levels. The concentrated portfolio strategy remained intact, reflecting confidence in high-conviction investment opportunities. Through a combination of rigorous research, disciplined execution, and teamwork, the fund managers sought to maintain the scheme's competitive position within the mid-cap category. Their collective efforts strengthened the institutional framework supporting long-term investor wealth creation.

2025

In 2025, Motilal Oswal Midcap Fund continued to be managed by a team comprising Niket Shah, Ajay Khandelwal, and Santosh Singh. The management team operated within the well-established QGLP investment framework and maintained a strong commitment to long-term investing. The year presented both opportunities and challenges as mid-cap valuations attracted significant investor attention while market volatility remained elevated. The fund managers responded by focusing on fundamental business analysis rather than short-term market sentiment. They evaluated portfolio companies based on earnings growth, competitive positioning, management quality, and long-term industry potential. The concentrated investment approach continued to distinguish the fund from many peers, allowing greater exposure to businesses in which the management team had strong conviction. Throughout the year, portfolio adjustments were driven by changes in company fundamentals and valuation considerations rather than market speculation. The fund managers demonstrated discipline in maintaining investment standards while seeking opportunities across sectors benefiting from India's economic expansion. Their approach emphasized patience, research, and conviction, reflecting the investment culture developed within Motilal Oswal Asset Management. By adhering to established principles and maintaining a long-term perspective, the management team continued to support the fund's objective of capital appreciation. The year further reinforced the importance of experienced leadership and consistent investment philosophy in delivering sustainable value to investors over time. Furthermore, the fund management team continued strengthening its research-driven investment process by closely monitoring market developments and company fundamentals. Their disciplined approach toward portfolio construction and stock selection helped maintain investor confidence while positioning the fund for future growth opportunities.

Overall Conclusion of Fund Manager Analysis (2021–2025)

The fund manager analysis of Motilal Oswal Midcap Fund from 2021 to 2025 highlights the importance of experienced leadership, disciplined portfolio management, and a consistent investment philosophy in achieving long-term investment success. During the study period, the fund was primarily managed by Niket Shah, whose extensive expertise in equity research and mid-cap investing played a crucial role in shaping the fund's strategy and performance. His strong understanding of emerging businesses and ability to identify companies with sustainable competitive advantages enabled the fund to capitalize on growth opportunities within the Indian mid-cap segment.

A major strength of the fund management approach was its adherence to the QGLP (Quality, Growth, Longevity, Price) investment philosophy. This framework ensured that investments were selected based on strong fundamentals, long-term growth potential, business sustainability, and reasonable valuations. Throughout the period, the fund maintained a concentrated portfolio consisting of high-conviction investment ideas, allowing the managers to focus on quality businesses rather than excessive diversification. This approach reflected confidence in research-driven stock selection and a commitment to long-term wealth creation.

The management team also demonstrated consistency and discipline during different market conditions, including periods of volatility and economic uncertainty. Instead of reacting to short-term market fluctuations, the fund managers focused on the long-term prospects of portfolio companies and made investment decisions based on business fundamentals. This strategy helped maintain portfolio stability and supported sustainable growth over time.

The addition of Ajay Khandelwal and Santosh Singh to the fund management team in 2024 further strengthened the scheme's research capabilities and ensured continuity in investment decision-making. Their inclusion enhanced the overall management structure while preserving the fund's established investment philosophy. The collaborative approach reduced key-person dependency and improved the fund's ability to manage a growing asset base effectively.

Overall, the fund management team successfully combined research expertise, disciplined execution, and a long-term investment perspective to create value for investors.

S

Strength

Strengths

Motilal Oswal Midcap Fund possesses several significant strengths that have established it as one of the most successful and widely recognized mid-cap mutual funds in India. The fund's greatest strength lies in its exceptional long-term performance and ability to generate substantial wealth for investors. Over the five-year period under analysis, the fund delivered a CAGR of 39.33%, significantly outperforming the Nifty Midcap 150 benchmark, which generated a CAGR of 18.70%. This substantial outperformance demonstrates the effectiveness of the fund's investment strategy and highlights its ability to identify businesses capable of delivering superior earnings growth and shareholder value. Furthermore, the fund generated an alpha of approximately 21.96%, indicating that a significant portion of returns was created through active management and stock selection rather than overall market appreciation alone. Another important strength is the fund's disciplined investment philosophy based on Motilal Oswal's QGLP framework, which emphasizes Quality, Growth, Longevity, and Price. This philosophy ensures that investments are made in fundamentally strong businesses with sustainable competitive advantages, capable management teams, healthy financial positions, and long-term growth potential. The fund's research-driven approach allows it to identify high-quality companies before they become widely recognized by the broader market. The fund also benefits from experienced management under Niket Shah, whose extensive expertise in mid-cap research has contributed significantly to portfolio construction and stock selection decisions. The fund has also experienced remarkable growth in Assets Under Management, increasing from ₹1,769 crore in 2021 to ₹35,735 crore in 2025. This growth reflects rising investor confidence, strong performance, and increasing acceptance of the fund's investment philosophy. Additionally, the fund demonstrated favorable risk-adjusted performance through relatively lower volatility and a superior Sortino Ratio compared to several peer funds. Its concentrated portfolio structure enables meaningful exposure to high-conviction investment ideas, allowing successful stock selections to contribute significantly to returns. Combined with strong research capabilities, disciplined portfolio management, and a long-term investment approach, these strengths position the fund as an attractive option for investors seeking aggressive capital appreciation and long-term wealth creation.

W

Weakness

Weaknesses

Despite its impressive long-term track record and strong wealth-creation capabilities, Motilal Oswal Midcap Fund exhibits several weaknesses that investors should carefully evaluate before making investment decisions. One of the most significant concerns is the fund's vulnerability to periods of short-term underperformance. While the fund has consistently generated superior long-term returns, it experienced substantial underperformance in 2025. During that year, the fund delivered a return of approximately -12.14%, whereas the Nifty Midcap 150 benchmark generated a positive return of around 5.07%. This resulted in underperformance exceeding 17 percentage points, highlighting that even fundamentally strong investment strategies can struggle when market conditions favor different sectors, styles, or investment themes. Such periods may negatively affect investor confidence and lead to redemption pressure. Another important weakness is the fund's concentrated portfolio strategy. Unlike highly diversified funds, Motilal Oswal Midcap Fund allocates a substantial portion of its assets to a relatively limited number of companies. Although this approach can significantly enhance returns when stock selection is successful, it simultaneously increases company-specific risk. Any adverse developments affecting major holdings can have a disproportionate impact on overall portfolio performance. Furthermore, the fund historically maintained a relatively high expense ratio compared to many peer funds. While the expense ratio has improved due to rapid AUM growth and operational efficiencies, higher costs can still reduce the net returns ultimately received by investors. The fund's exceptionally high Portfolio Turnover Ratio also represents a potential weakness. The turnover ratio increased from 30% in 2021 to 200% in 2023 and remained above 100% thereafter. Such extensive trading activity may increase transaction costs and create greater dependence on the fund manager's ability to make successful tactical decisions. Additionally, the fund experienced a maximum drawdown of approximately 18.98%, exposing investors to significant temporary losses during periods of market stress. This level of volatility can be psychologically challenging for many investors and may encourage premature exits during downturns. Consequently, the fund may be less suitable for conservative investors who prioritize stability, lower volatility, and capital preservation over aggressive long-term growth potential.

O

Opportunities

Opportunities

The future presents substantial opportunities for Motilal Oswal Midcap Fund as India continues progressing toward becoming one of the world's largest and fastest-growing economies. Several structural growth drivers, including urbanization, rising disposable incomes, infrastructure development, digital transformation, manufacturing expansion, and increasing consumer spending, are expected to support long-term economic growth. Mid-cap companies often benefit significantly from these developments because they possess established business models while still maintaining considerable room for expansion. As a result, many mid-cap businesses have the potential to become future market leaders. The fund's focus on identifying quality mid-cap companies positions it well to capitalize on these long-term economic opportunities. Another significant opportunity arises from the increasing participation of retail investors in equity markets through mutual funds and Systematic Investment Plans (SIPs). Growing financial literacy, greater accessibility through digital investment platforms, and increased awareness regarding long-term wealth creation continue attracting new investors into equity-oriented mutual funds. This trend is likely to support sustained inflows into the fund and contribute to continued expansion of Assets Under Management. Larger AUM can also create economies of scale, allowing the fund to improve operational efficiency and potentially reduce investor costs over time. The portfolio's exposure to high-growth sectors such as fintech, capital markets, financial services, information technology, telecommunications, healthcare, consumer durables, and manufacturing aligns with several of India's strongest structural growth themes. Government initiatives including Make in India, Digital India, infrastructure spending programs, and Production Linked Incentive (PLI) schemes can further accelerate growth among portfolio companies. Additionally, increasing formalization of the economy, financial inclusion, digital adoption, and rising corporate profitability create favorable conditions for many businesses represented within the portfolio. Forecast projections indicate that the fund's AUM could continue growing significantly over the coming years under multiple scenarios. As India's capital markets deepen and economic activity expands, the fund is likely to benefit from a broader universe of attractive investment opportunities. These factors collectively provide a strong foundation for future growth and enhance the fund's ability to generate superior long-term returns while continuing its wealth-creation journey for investors.

T

Threat

Threats

Motilal Oswal Midcap Fund faces several threats that could affect its future performance despite its strong historical track record and favorable long-term outlook. The most significant threat arises from the inherent volatility associated with mid-cap investing. Mid-cap companies are generally more sensitive to economic slowdowns, inflationary pressures, rising interest rates, declining consumer demand, and changes in investor sentiment than large-cap companies. During periods of market uncertainty, investors often move capital toward larger and more established businesses, leading to sharper corrections within the mid-cap segment. Consequently, the fund may experience substantial fluctuations in Net Asset Value and temporary declines in portfolio value, which can negatively impact investor confidence. Another important threat is the highly competitive nature of the mid-cap mutual fund industry. Numerous established fund houses offer competing mid-cap schemes with different investment philosophies, fee structures, and performance records. This competition makes consistent outperformance increasingly important for attracting and retaining investor capital. Economic uncertainties, geopolitical tensions, regulatory changes, taxation reforms, and unexpected government policy decisions can also negatively affect portfolio companies and market valuations. The fund's growth-oriented investment style presents an additional challenge. There may be periods when value stocks, cyclical sectors, commodity-related businesses, or defensive industries outperform growth-oriented companies. During such phases, the fund may underperform both its benchmark and peer funds despite maintaining fundamentally strong holdings. Global economic disruptions, currency fluctuations, changes in foreign institutional investor sentiment, and international financial instability may further increase volatility in Indian equity markets. A slowdown in India's economic growth, weaker corporate earnings, declining liquidity conditions, or prolonged market corrections could disproportionately affect mid-cap companies and reduce future return potential. Additionally, excessive valuations within the mid-cap segment could create downside risks if earnings growth fails to meet expectations. Therefore, while the fund's long-term prospects remain positive, it must continuously adapt to evolving market conditions, economic cycles, and competitive pressures to effectively manage these threats and sustain long-term performance.

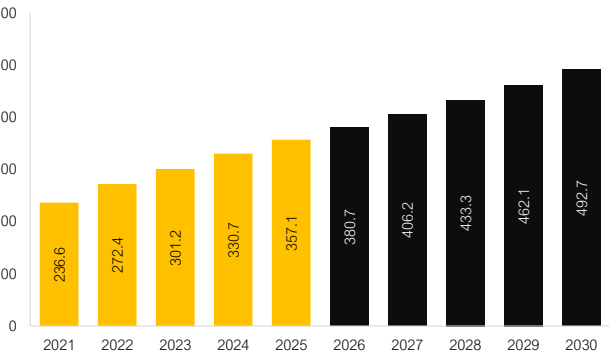
GDP Outlook

In Lakh Crores	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Indian GDP	236.6	272.4	301.2	330.7	357.1	380.7	406.2	433.3	462.1	492.7
YoY Change %	N/A	15.13%	10.57%	9.79%	7.98%	6.62%	6.70%	6.66%	6.64%	6.62%

Analysts	Growth Estimation for next 5 years				
	2026	2027	2028	2029	2030
IMF	6.50%	6.50%	6.50%	6.50%	6.50%
World Bank	6.60%	6.60%	6.50%	6.50%	6.50%
Asian Development Bank	6.90%	7.30%	7.20%	7.10%	7.00%
S & P Global Ratings	6.70%	6.70%	6.70%	6.70%	6.70%
Moody's Ratings	6.40%	6.40%	6.40%	6.40%	6.40%

Average GDP Growth	6.62%	6.70%	6.66%	6.64%	6.62%
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India's GDP has demonstrated strong and consistent growth between 2021 and 2025, highlighting the country's economic resilience and expanding market opportunities. Forecasts from leading institutions indicate that GDP growth is likely to remain above 6% through 2030. Rising consumption, infrastructure development, manufacturing expansion, and supportive government policies are expected to drive growth, creating favorable conditions for mid-cap companies.



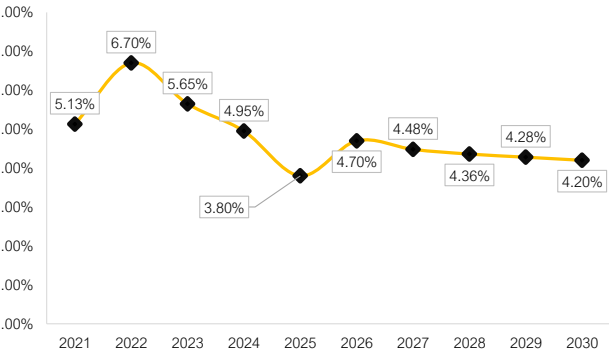
Inflation Outlook

CPI (In %)	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
CPI	5.13%	6.70%	5.65%	4.95%	3.80%	4.70%	4.48%	4.36%	4.28%	4.20%
YoY Change %	N/A	30.60%	-15.67%	-12.39%	-23.23%	23.68%	-4.68%	-2.68%	-1.83%	-1.87%

Analysts	Change Estimation for CPI for next 5 years				
	2026	2027	2028	2029	2030
IMF	4.70%	4.50%	4.40%	4.30%	4.20%
World Bank	4.90%	4.70%	4.50%	4.40%	4.30%
Asian Development Bank	4.50%	4.00%	4.00%	4.00%	4.00%
RBI	4.60%	4.50%	4.40%	4.30%	4.20%
Moody's Ratings	4.80%	4.70%	4.50%	4.40%	4.30%

Average CPI Change	4.70%	4.48%	4.36%	4.28%	4.20%
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India's inflation rate increased significantly in 2022 before gradually declining during the following years. Analyst projections suggest inflation will remain close to the RBI's target range of around 4% over the next five years. Stable inflation helps maintain consumer purchasing power, supports business profitability, and reduces cost pressures. These conditions are generally beneficial for economic growth and mid-cap company performance.



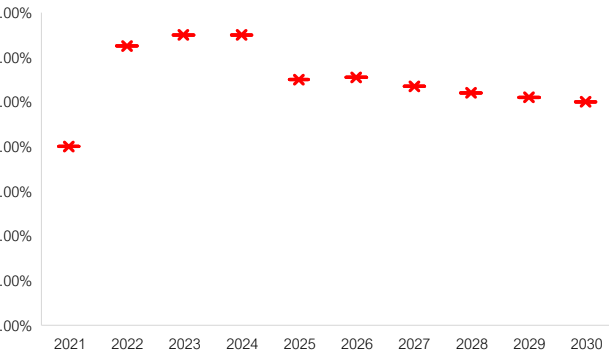
Interest Rates Envirnment

Repo Rate (In %)	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Repo Rate	4.00%	6.25%	6.50%	6.50%	5.50%	5.55%	5.35%	5.20%	5.10%	5.00%
YoY Change %	N/A	56.25%	4.00%	0.00%	-15.38%	0.91%	-3.60%	-2.80%	-1.92%	-1.96%

Analysts	Change Estimation for Repo Rate for next 5 years				
	2026	2027	2028	2029	2030
IMF	5.50%	5.25%	5.25%	5.00%	5.00%
World Bank	5.50%	5.25%	5.25%	5.00%	5.00%
Asian Development Bank	5.50%	5.25%	5.00%	5.00%	5.00%
RBI	5.50%	5.50%	5.25%	5.25%	5.00%
Moody's Ratings	5.75%	5.50%	5.25%	5.25%	5.00%

Average CPI Change	5.55%	5.35%	5.20%	5.10%	5.00%
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India's interest rate environment reflects the Reserve Bank of India's efforts to maintain price stability while supporting economic growth. The repo rate increased significantly between 2021 and 2023 in response to rising inflation and remained stable through 2024 before declining in 2025. Analyst forecasts indicate a gradual reduction in rates through 2030. A moderate interest rate environment can encourage borrowing, investment, corporate expansion, and overall economic activity.



The economic outlook for mid-cap companies remains favorable, supported by strong GDP growth, moderating inflation, and a stable interest rate environment. Sustained GDP growth reflects increasing economic activity, higher consumer spending, and greater business investment, all of which create opportunities for mid-cap firms to expand operations and improve revenues. As many mid-cap companies operate in growth-oriented sectors, they are well positioned to benefit from a rapidly expanding economy. The gradual decline in inflation is expected to reduce pressure on input costs such as raw materials, transportation, and labor, helping companies maintain healthier profit margins. Lower inflation also improves consumer purchasing power, which can drive demand across various industries. In addition, expectations of a gradual reduction in interest rates can lower borrowing costs and encourage capital expenditure, expansion projects, and business development. Together, these macroeconomic factors create a supportive environment for earnings growth, improved profitability, stronger competitiveness, and long-term value creation within the mid-cap segment.

Metrics	Peers	Value	Valuation Premium / Discount	Average			
P/E Ratio	HDFC Midcap Fund	24.97	Discount	P/E	38.80	P/B	6.44
P/B Ratio		3.44					
P/E Ratio	Edelweiss Midcap Fund	29.77	Discount				
P/B Ratio		4.61					
P/E Ratio	SBI Magnum Midcap Fund	49.62	Premium				
P/B Ratio		8.58					
P/E Ratio	Nippon Midcap Fund	50.85	Premium				
P/B Ratio		9.12					
P/E Ratio	Nippon Midcap Fund	40.13	Premium				
P/B Ratio		6.28					

The valuation comparison highlights varying market expectations across the selected midcap funds. HDFC Midcap Fund and Edelweiss Midcap Fund trade at P/E discounts of 35.64% and 23.27%, respectively, suggesting relatively attractive valuations. SBI Magnum Midcap Fund and Nippon India Growth Fund trade at substantial premiums of 27.89% and 31.06%, reflecting strong investor confidence and growth expectations. Motilal Oswal Midcap Fund remains close to the peer average, trading at a modest P/E premium of 3.43%, indicating balanced valuation and growth prospects.

The valuation analysis of Motilal Oswal Midcap Fund and its selected peer group provides valuable insights into the relative attractiveness, growth expectations, and market perception of each fund within the Indian midcap mutual fund category. Valuation metrics such as the Price-to-Earnings (P/E) ratio and Price-to-Book (P/B) ratio are among the most widely used measures for evaluating whether a portfolio is trading at a premium or discount relative to comparable funds. These indicators help investors understand how much they are paying for a fund's earnings potential and underlying net assets. A higher valuation generally indicates stronger market confidence in future growth prospects, whereas a lower valuation may suggest relatively attractive pricing or lower expected earnings growth. Therefore, analyzing these metrics is essential for understanding the positioning of Motilal Oswal Midcap Fund within the broader midcap fund universe.

The comparison uses average peer valuation levels of 38.80 times earnings and 6.44 times book value as benchmarks against which individual funds are evaluated. The results reveal substantial variation in valuation levels across the selected peer group, reflecting differences in portfolio composition, growth prospects, investment philosophy, earnings quality, and investor sentiment. Such differences are common within the midcap segment because midcap companies often exhibit varying stages of growth, profitability, and business maturity.

HDFC Midcap Fund emerges as one of the most attractively valued funds among the selected peers. With a P/E ratio of 24.97 and a P/B ratio of 3.44, the fund trades at a discount of approximately 35.64% and 46.58%, respectively, compared to the peer averages. These significant discounts suggest that investors are paying considerably less for the earnings and net assets represented by the portfolio. Such valuation levels may attract investors seeking value opportunities within the midcap segment. However, lower valuations may also indicate relatively conservative growth expectations or concerns regarding future earnings expansion. Despite these considerations, discounted valuations can potentially offer a margin of safety and may result in attractive long-term returns if the underlying companies continue to perform well and exceed market expectations.

Edelweiss Midcap Fund also trades at a discount relative to the peer average. The fund's P/E ratio of 29.77 and P/B ratio of 4.61 represent discounts of 23.27% and 28.42%, respectively. Although the discount is less pronounced than that of HDFC Midcap Fund, it still indicates that investors value the fund below the average valuation level of the selected peer group. Such pricing may appeal to investors who prefer exposure to the midcap segment while maintaining a focus on valuation discipline. The relatively moderate discount suggests that the market recognizes the quality of the underlying portfolio but is not willing to pay the higher premiums commanded by certain growth-oriented competitors. This valuation position places Edelweiss Midcap Fund between value-oriented and growth-oriented investment opportunities.

In contrast, SBI Magnum Midcap Fund trades at a significant premium compared to the peer average. With a P/E ratio of 49.62 and a P/B ratio of 8.58, the fund commands premiums of approximately 27.89% and 33.23%, respectively. These elevated valuation levels indicate that investors have strong confidence in the future growth potential of the portfolio companies. A premium valuation generally reflects expectations of superior earnings growth, strong profitability, and the ability of portfolio companies to sustain competitive advantages over the long term. Investors appear willing to pay considerably more for exposure to SBI Magnum Midcap Fund because they believe that future earnings and wealth creation opportunities justify the higher valuation. However, premium valuations also increase sensitivity to market corrections, as any disappointment in earnings growth may result in greater downside risk.

Among all the selected peers, Nippon India Growth Fund commands the highest valuation premium. The fund's P/E ratio of 50.85 and P/B ratio of 9.12 translate into premiums of approximately 31.06% and 41.61%, respectively. These figures demonstrate exceptionally strong market confidence in the quality and growth potential of the fund's portfolio holdings. Investors are paying a substantial premium for access to companies expected to deliver strong earnings growth and superior long-term performance. Such valuation levels often characterize portfolios with high-quality businesses, strong competitive positioning, and favorable industry exposure. Nevertheless, higher valuations also imply greater expectations from the market, making future performance requirements more demanding. Sustaining such premium valuations requires consistent earnings growth and operational excellence from the underlying companies.

Motilal Oswal Midcap Fund presents a distinctly different valuation profile compared to the other peer funds. The fund's P/E ratio of 40.13 is only slightly above the peer average of 38.80, resulting in a modest premium of approximately 3.43%. At the same time, the fund's P/B ratio of 6.28 is marginally below the peer average of 6.44, resulting in a slight discount of approximately 2.48%. These figures indicate that the fund is valued very close to the peer group average and does not exhibit the extreme premium or discount characteristics observed in some competing funds. This balanced valuation profile suggests that investors maintain a favorable view of the fund's growth prospects while remaining disciplined in terms of the price they are willing to pay for that growth.

The valuation position of Motilal Oswal Midcap Fund is particularly noteworthy because it reflects a balance between growth expectations and valuation discipline. The small P/E premium indicates that investors expect earnings growth that is slightly above the category average. Simultaneously, the slight P/B discount suggests that the market does not assign an excessive valuation to the fund's underlying net assets. This combination may be viewed positively by investors seeking exposure to quality midcap companies without paying the substantial premiums associated with some other funds in the category.

Another important observation from the valuation analysis is the relationship between valuation levels and investor expectations. Funds trading at significant discounts may offer opportunities for valuation expansion if business performance improves or market sentiment strengthens. Conversely, funds trading at high premiums must continue delivering strong earnings growth to justify their elevated valuations. Motilal Oswal Midcap Fund's near-average valuation profile reduces the likelihood of excessive valuation risk while still providing exposure to attractive growth opportunities within the midcap segment. This balanced position may help the fund navigate different market environments more effectively than portfolios that rely heavily on valuation expansion or premium market sentiment.

The valuation analysis also highlights the diversity of investment approaches within the midcap category. Some funds emphasize growth-oriented investing and consequently command premium valuations, while others focus on relatively attractive pricing and therefore trade at discounts. Motilal Oswal Midcap Fund appears to occupy a middle ground, combining growth-oriented characteristics with reasonable valuation levels. Such a position may be particularly appealing to long-term investors who seek sustainable wealth creation rather than relying solely on aggressive growth assumptions or deep-value opportunities.

Overall, the valuation comparison demonstrates that Motilal Oswal Midcap Fund maintains a well-balanced and competitive position among its peers. While HDFC Midcap Fund and Edelweiss Midcap Fund trade at notable discounts and SBI Magnum Midcap Fund and Nippon India Growth Fund command substantial premiums, Motilal Oswal Midcap Fund remains closely aligned with peer averages. The fund's modest P/E premium of 3.43% and slight P/B discount of 2.48% indicate that the market views the portfolio favorably without assigning excessive valuation levels. This balanced valuation profile reflects confidence in the fund's investment strategy, portfolio quality, and long-term growth potential. Therefore, based on the valuation analysis, Motilal Oswal Midcap Fund appears fairly valued relative to its peer group and represents a suitable investment option for investors seeking a combination of growth potential, portfolio quality, and valuation discipline within the Indian midcap mutual fund segment. Furthermore, the fund's valuation characteristics indicate a prudent balance between growth and affordability, making it attractive for investors with a long-term investment horizon. The combination of a modest valuation premium, strong portfolio quality, and exposure to high-potential midcap companies positions the fund well to benefit from future economic growth, corporate earnings expansion, and favorable market conditions while maintaining reasonable valuation levels.

Fund Performance Conclusion

The performance analysis of Motilal Oswal Midcap Fund demonstrates that the fund has successfully established itself as a strong performer within the Indian mid-cap mutual fund category over the period under study. Throughout the years analyzed, the fund displayed substantial growth in both Assets Under Management (AUM) and Net Asset Value (NAV), reflecting increasing investor confidence and effective portfolio management. The fund's AUM expanded significantly from approximately ₹1,769 crore in 2021 to more than ₹35,734 crore in 2025, representing remarkable growth and highlighting the increasing popularity of the scheme among investors. Such growth is generally an indicator of investor trust, strong brand recognition, and confidence in the fund's long-term investment strategy. Simultaneously, the fund's NAV increased from ₹45.66 in 2021 to ₹98.89 in 2025 despite experiencing temporary setbacks during periods of market volatility. This substantial increase demonstrates the fund's ability to generate capital appreciation and create long-term value for investors. The return analysis reveals that the fund delivered impressive growth during most years of the study period, particularly during favorable market conditions. Strong performance during 2023 and 2024 reflected the successful identification of high-growth mid-cap opportunities and the effectiveness of the fund's stock selection process. Although the fund experienced a decline in 2025 and underperformed its benchmark during that period, such fluctuations are not uncommon in the mid-cap segment. Mid-cap companies often experience greater volatility due to changing economic conditions, interest rate movements, inflationary pressures, and shifts in investor sentiment. Therefore, short-term underperformance should not overshadow the fund's overall long-term track record. The SIP analysis further reinforces the strength of the fund's performance. Investors who consistently invested through systematic investment plans benefited from rupee cost averaging and long-term compounding. Even during periods of market weakness, disciplined SIP investments allowed investors to accumulate units at lower prices, contributing positively to long-term portfolio growth. Rolling return analysis also demonstrated that investors who remained invested for longer periods generally experienced favorable outcomes despite temporary market fluctuations. This highlights the importance of maintaining a long-term perspective when evaluating mutual fund performance. Another important observation is the fund's ability to attract substantial investor inflows despite market uncertainty. The consistent increase in AUM indicates that investors continued to view the fund as an attractive vehicle for participating in India's long-term economic growth story. The portfolio's exposure to sectors such as financial services, technology, manufacturing, consumer durables, healthcare, and telecommunications enabled the fund to benefit from multiple structural growth drivers within the Indian economy. Overall, the performance evaluation suggests that Motilal Oswal Midcap Fund has successfully achieved its primary objective of long-term capital appreciation. While the fund has experienced periods of volatility and temporary underperformance, the broader trend remains strongly positive. The combination of significant NAV growth, rapid AUM expansion, strong historical returns, and successful wealth creation through SIP investments supports a favorable assessment of the fund's performance. Therefore, the fund can be considered a successful example of active mid-cap fund management that has effectively generated long-term value while navigating different economic and market cycles.

Portfolio and Investment Strategy Conclusion

The portfolio and investment strategy analysis of Motilal Oswal Midcap Fund highlights a disciplined, research-driven, and growth-oriented approach that has been central to the fund's long-term success. The fund follows Motilal Oswal's well-known QGLP framework, which stands for Quality, Growth, Longevity, and Price. This philosophy forms the foundation of every investment decision and ensures that the portfolio consists of businesses capable of generating sustainable long-term value. Rather than focusing on short-term market speculation, the fund prioritizes companies with strong fundamentals, capable management teams, competitive advantages, scalable business models, and attractive growth prospects. One of the key strengths of the fund is its focus on quality businesses. The portfolio consists of companies operating in sectors that are expected to benefit from India's long-term economic development. Significant exposure to financial services, technology, telecom, consumer durables, manufacturing, healthcare, retailing, industrial products, and capital markets provides the fund with access to multiple growth opportunities. These sectors are expected to play a crucial role in India's future economic expansion, making them attractive areas for long-term investment. The fund's concentrated portfolio approach distinguishes it from many competitors. Rather than spreading investments across a large number of stocks, the fund manager allocates capital toward a limited number of high-conviction ideas. This strategy increases the potential impact of successful stock selection and allows the fund manager to focus on businesses with the strongest growth prospects. Although concentration increases company-specific risk, it can significantly enhance returns when investment decisions prove successful. Historical performance suggests that this approach has contributed positively to long-term wealth creation. The portfolio turnover analysis reveals an active management style. The significant increase in portfolio turnover during certain years indicates that the fund manager actively adjusted portfolio holdings in response to changing market conditions, emerging opportunities, and valuation considerations. While frequent portfolio adjustments may increase transaction costs, they also demonstrate flexibility and a willingness to adapt investment decisions based on evolving market dynamics. Such an approach can be beneficial in rapidly changing economic environments where sector leadership and company fundamentals evolve over time. Another important aspect of the strategy is valuation discipline. The QGLP framework emphasizes not only identifying quality growth companies but also ensuring that investments are made at reasonable valuations. This focus on price helps reduce the risk of overpaying for popular stocks and supports better long-term investment outcomes. The fund manager carefully balances growth potential with valuation considerations to maximize risk-adjusted returns. Overall, the portfolio and investment strategy analysis indicates that Motilal Oswal Midcap Fund possesses a strong and coherent investment framework capable of supporting long-term success. The combination of quality businesses, growth orientation, valuation discipline, sector diversification, active management, and concentrated conviction-based investing creates a portfolio that is well-positioned to benefit from India's structural growth opportunities. The analysis suggests that the fund's investment strategy remains one of its strongest competitive advantages and a key driver of its long-term performance.

Risk and Return Conclusion

The risk and return analysis demonstrates that Motilal Oswal Midcap Fund has maintained an attractive balance between growth potential and risk management throughout the study period. Investing in mid-cap companies inherently involves greater volatility than investing in large-cap stocks because mid-cap businesses are generally more sensitive to economic cycles, market sentiment, interest rate changes, and industry-specific developments. Despite operating within this higher-risk segment, the fund has consistently demonstrated an ability to generate attractive long-term returns while maintaining relatively effective risk controls. The return analysis highlights the fund's ability to generate significant wealth creation over extended investment horizons. Strong multi-year returns, favorable CAGR figures, and positive long-term performance relative to many peers indicate that the fund has successfully captured growth opportunities within the mid-cap universe. The fund's ability to generate alpha over its benchmark suggests that active management and stock selection have contributed meaningfully to performance rather than returns being driven solely by broader market movements. From a risk perspective, several metrics provide valuable insights into the fund's behavior. Standard deviation analysis indicates that while volatility remains unavoidable within the mid-cap category, the fund has generally maintained reasonable levels of risk relative to competitors. Beta analysis suggests that the fund's sensitivity to market movements remains broadly aligned with expectations for a mid-cap strategy. Furthermore, favorable alpha generation demonstrates the ability of the fund manager to create additional value beyond benchmark performance. The Sharpe Ratio and Sortino Ratio further support the conclusion that investors have generally been compensated appropriately for the risks undertaken. These metrics suggest that the fund has generated attractive risk-adjusted returns compared to many alternatives within the same category. However, it is equally important to acknowledge the risks highlighted by the analysis. The fund experienced meaningful drawdowns during market corrections and periods of short-term underperformance. The decline recorded during 2025 illustrates that even high-quality portfolios can face challenges when market conditions become unfavorable. Drawdown analysis is particularly important because it reflects the psychological challenges faced by investors. Significant declines in portfolio value may create anxiety and tempt investors to redeem investments at unfavorable times. However, historical evidence suggests that investors who remained disciplined and maintained a long-term perspective generally benefited from subsequent recoveries and continued growth. This reinforces the importance of patience and long-term commitment when investing in mid-cap funds. Macroeconomic risks, inflation, interest rate movements, geopolitical uncertainty, regulatory changes, and shifts in investor sentiment will continue to influence future performance. Nevertheless, the fund's historical track record suggests that it possesses the resilience necessary to navigate changing market conditions while continuing to pursue long-term growth opportunities. Overall, the risk and return analysis concludes that Motilal Oswal Midcap Fund has successfully balanced growth potential with effective risk management. Although investors must be prepared for volatility, temporary underperformance, and market corrections, the long-term return potential has generally justified the risks undertaken. The fund's strong historical performance, alpha generation, favorable risk-adjusted metrics, and ability to recover from adverse conditions support a positive assessment of its overall risk-return profile. Furthermore, the fund's historical performance demonstrates that temporary market corrections and periods of underperformance have generally been followed by recovery and renewed growth. Investors who remained disciplined and focused on long-term objectives were often rewarded through capital appreciation and compounding returns. This reinforces the importance of patience, risk awareness, and a long-term investment perspective when evaluating mid-cap mutual fund investments.

Overall Conclusion

The comprehensive analysis of Motilal Oswal Midcap Fund indicates that the fund has successfully established itself as a strong and competitive participant within the Indian mid-cap mutual fund category. The study examined multiple aspects of the fund, including performance, portfolio composition, investment philosophy, risk-return characteristics, expense ratio, benchmark comparison, fund management, valuation analysis, macroeconomic outlook, SWOT analysis, and future projections. Based on the findings, the overall assessment of the fund is positive, as it has consistently demonstrated the ability to generate long-term wealth while maintaining a disciplined and research-driven investment approach. The substantial growth in Assets Under Management from approximately ₹1,769 crore in 2021 to more than ₹35,734 crore in 2025 reflects increasing investor confidence and recognition of the fund's capabilities. Similarly, the significant appreciation in Net Asset Value over the study period highlights the effectiveness of the fund's investment strategy and its ability to create value for investors over the long term. One of the key strengths identified during the analysis is the fund's adherence to Motilal Oswal's QGLP philosophy, which focuses on Quality, Growth, Longevity, and Price. This framework has enabled the fund to build a portfolio of fundamentally strong businesses with sustainable competitive advantages and long-term growth potential. The portfolio is diversified across sectors such as financial services, technology, manufacturing, healthcare, consumer durables, telecom, retailing, and capital markets, providing exposure to multiple growth drivers within the Indian economy.